Entrepreneurship MGT602

Theme 01: History and Introduction of Entrepreneurship

Videos 1-12

Introduction of Entrepreneurship

- Entrepreneurship is a buzz word these days. Everyone is talking about entrepreneurship or wants to be an entrepreneur.

- Entrepreneurship is all about doing your own business and entrepreneur is a person who sets up a business

- Seek or create a job!

- Why all entities like government, educational and financial institution are supporting entrepreneurship?
- What if all graduates students are job seekers?
- What if no one is creating a firm?
- Then, who will create jobs?

- Entrepreneurship is a great source of creating jobs, creates a balance between job seekers and job-creators, and stimulates healthy economic growth

- Interesting questions while discussing entrepreneurship:

  - What is an entrepreneurship?
  - Is it a new discipline?
  - Is it a process?
  - Is it an attitude?
  - Who is an entrepreneur?
  - Are entrepreneurs so smart, supper intelligent, super genius, innovative, risk lover?

- Who should watch this course MGT602?

- Can you learn entrepreneurship ?

❑ Resource Persons:

- **Miss Noreen Zahra Ali,** Assistant Professor of Management Sciences at Virtual University of Pakistan.
- **Dr. Rizwan Saleem Sandhu**, Assistant Professor of Management Sciences at Virtual University of Pakistan.

❑ Recommended Books:

1. Entrepreneurship: Successfully Launching New Ventures by Bruce Barringer and R. Duane Ireland
2. Entrepreneurship by Robert Hisrich, Michael Petters and Dean Shepherd
3. Essentials of entrepreneurship and small business management by Thomas Zimmerer and Norman Scarborough
4. Small Business Management by Justin G. Longenecker, Carlos W. Moore, J. William Petty and Leslie E. Palich

❑ Expected outcome of this course: After attending this course you will be in a better position to assess the business opportunities and do better business and tactfully handle the growth issue.

Important Concepts

- Entrepreneurship is a process of finding solutions to problems.
- Entrepreneur is the person who is a solution provider.
- Enterprising nature of mankind Willingness to undertake new ventures or initiative and discover non-routine actions in a dynamic way
- Hunter Gatherers In the early ages of existence, human being were hunter gatherers: living in jungles, moving around in family, fighting against nature for survival, and reliance on hunting skills.

  - Green Revolution, Agricultural Societies, Merchant Entrepreneurs
  - Silk Road
  - Steam Engine Invention
  - Industrial Revolution
  - Technological Revolution

Entrepreneurship as a Discipline

- Entrepreneurship originated from the science of economics but it is multidisciplinary, developed in many subfields with several disciplines such as management/business administration, sociology, psychology, culture, marketing, finance, and geography.

- The term "entrepreneur" has been in use since 12th century when it first appeared in the French language where "*entre*" means between and "*prendre*" means to take. These words was originally used to describe people *who take on the risk between buyers and sellers* or who undertake a task such as starting a new venture.

"Entrepreneur is a person with foresight and confidence, operate in a condition where the cost maybe known but rewards are uncertain" Cantillon, Irish-French economist (17th century)

"There is a distinction between the entrepreneur and the capitalist, and between their profits" Jean-Baptiste Say, French economist and businessman (18th century)

"The entrepreneur is a person who is willing and able to convert a new idea or invention into a successful innovation" Joseph Schumpeter, an Austrian political economist from the (20th century) Schumpeter labelled entrepreneur creative destructor and directly linked it with innovation.

David C. McClelland, behaviorist from the 20th century described entrepreneurs on the basis of characteristics, attitudes, and skills.

Baumal categorized an entrepreneur as business organizer and also as an innovative person. (William Jack Baumal, an American economist from the 20th century)

Entrepreneurship Books

Peter Drucker, management scientist from the 20th century wrote a book **"Innovation and entrepreneurship: practice and principles"**.

Drucker also linked entrepreneurship with

- Innovation
- product innovation
- production method innovation
- new market development
- supply chain development
- new and better structure of organization.

Entrepreneurship and Business Incubation Centers

- Business Incubation Center A **business incubator/incubation center** is a place that helps startup companies to develop and grow by providing services such as management training, networking, mentoring and/or office space.

- Virtual University of Pakistan has successfully established an incubation center: **Student Startup Business Centre (SSBC)** with the collaboration of **Promotion of Education in Pakistan (PEP) Foundation, USA** and **HEC Pakistan**. You can find the details about SSBC at https://ssbc.vu.edu.pk/Default.aspx.

- The Indus Entrepreneur (TIE) https://tie.org/ was founded in 1992 in Silicon Valley, is an international platform for entrepreneurs to get benefited from its eminent incubation services .i.e.

- Global Entrepreneurship Monitor (GEM) https://www.gemconsortium.org/. GEM is able to provide high quality information, comprehensive reports and interesting stories, which greatly enhance the understanding of the entrepreneurial phenomenon.

- **Business Ecosystem:** An ecosystem refers to the social, economic, political, legal, technological, market, internationalization and related environment affecting the local/regional entrepreneurship.

- **Books to read** to understand entrepreneur, entrepreneurship and business ecosystem

- The Innovator's Dilemma" by Clayton Christensen
- The Lean Startup by Eric Ries
- Zero to One by Peter Thiel
- کامیاب لوگ by Dr. Amjad Saqib

Entrepreneurship…. more definitions

- Entrepreneurship is the capacity and willingness to develop, organize and manage a business venture along with any of its risks in order to make a profit. Entrepreneurial spirit is characterized by innovation and risk-taking and is an essential part of a nation's ability to succeed in an ever changing and increasingly competitive global marketplace. *(Businessdictionary.com)*

- Entrepreneurship is defined as a process by which individuals pursue opportunities without regard to resources they currently controlled. Entrepreneurship is an art of turning an idea into a business. *(Barringer and Ireland)*

- Entrepreneurship is a dynamic process of creating incremental wealth. The wealth is created by individuals who assume the major risk in terms of equity, time and commitment to provide value for some product or service. The product or service may or may not be new, but the entrepreneur must somehow infuse value by receiving and building the necessary skills and resources as a result receive the financial reward with personal satisfaction. *(Hisrich, Peters, and Shepherd)*

Entrepreneur…. more definitions

- Entrepreneurs is an individual who takes initiative to bundle resources in innovative ways and is willing to take risk to act. *(Hisrich, peters and shepherd)*

- Entrepreneur is the one who creates a new business in the face of uncertainty and risk for the purpose of achieving profit and growth by identifying significant opportunities and assembling the necessary resources to capitalize on them. *(Zimmerer and Scarborough)*

- Entrepreneur is someone who exercises initiative by organizing a venture to take benefit of an opportunity and, as the decision maker, decides what, how and how much of a good or service will be produced. *(Businessdictionary.com)*

Importance of Entrepreneurship for Economy

- Economy is the state of a country or region in terms of the production and consumption of goods and services and the supply of money.https://en.oxforddictionaries.com/definition/economy

- World Economic Forum (WEF) divides economies into three categories. https://www.weforum.org/

  - Factor-driven Economy: Economy is dominated by subsistence agriculture and extraction businesses, with a heavy reliance on (unskilled) labor and natural resources.

  - Efficiency-driven Economy: Economy becomes more competitive with more-efficient production processes and increased product quality.

  - Innovation-driven Economy in: Businesses are more knowledge-intensive, and the service sector expands

"Entrepreneurship is at the heart of national advantage" and it has a huge economic impact. This importance has been advocated by Michael E. Porter in his book "The Competitive Advantage of Nations".

Entrepreneurial Ecosystem - Global Entrepreneurship Index (GEI)

- Global Entrepreneurship and Development Institute (GEDI) is a research organization advancing knowledge on the relationship between entrepreneurship, economic development, and prosperity. https://thegedi.org/

- Global Entrepreneurship Index (GEI) is the flagship project of GEDI to study entrepreneurial ecosystems at national and regional level.

- 14 Pillars of an Entrepreneurial Ecosystem. (Country and regional ranking varies on yearly basis)

  - Opportunity Reception
  - Startup Skills
  - Risk Acceptance
  - Networking
  - Cultural Support
  - Opportunity Startup
  - Technology Adoption
  - Human Capital
  - Competition
  - Process Innovation
  - Product Innovation
  - High Growth
  - Internationalization
  - Risk Capital

Reasons to become an Entrepreneur

- Creativity doesn't fit the corporate environment.
- They want a lifestyle that isn't bound to nine to five
- Be their own boss
- They are active learners
- They want to pursue their own ideas
- Their ideas are unconventional and very innovative
- They assume that there are unlimited earning possibilities
- We can change the world
- Entrepreneurs are never retired from their work
- Entrepreneurs do not require degrees
- Entrepreneurship brings autonomy, freedom and responsibility
- Entrepreneurship brings a sense of achievement

Common myths about Entrepreneurs

- Entrepreneurs are born and they can not be made.
- Entrepreneurs are very high risk takers.
- Entrepreneurs are primarily motivated by money.
- Entrepreneurs are overwhelmed by their own ideas and do not listen to the advices.
- Entrepreneurs are high tech wizards
- Entrepreneurs love the spotlight
- Entrepreneurs are must be inventors because they are innovators
- You don’t need to earn degree if you want to be an entrepreneur
- If you don’t have money, you can’t be an entrepreneur
- Entrepreneurs are usually young, super genius and super energetic: kind of a hero

Potential benefits of being an Entrepreneur

- You are in charge of your own destiny.
- You can be an innovator.
- Entrepreneurship has no age limit.
- Full responsibility as a source of motivation.
- You become contributor to the society.
- Power to pivot.
- Experience the personal growth joy.
- You become an expert, a solution provider.
- Resilience, recovery and learning process.
- Financial and personal reward, become a role model.
- Schedule flexibility and freedom.
- Work with the people you like.
- The chance to share your learning.
- The legacy to next generation.

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Theme 02: Routes to Entrepreneurship: Buying an Existing Business

Videos 13-23

The potential drawbacks of being entrepreneurs

- Uncertain income
- Risk of losing your entire investment
- Long hours and hard work
- Lower quality of life until the business gets established
- High level of stress
- You can’t blame anyone
- Initially failure and discouragement
- Multitasking
- Family and social risk
- Sacrificing personal capital or debt burden
- Betting on a crucial deadline
- Market has its own trend and behavior

What is feeding your entrepreneurial fire? (source of motivation)

1. Economic shift in global environment

- Purchasing power
- Inflation or deflation
- Loan rates
- Price competition
- Industry growth rate
- Tax rebates
- Global ties

2. Demographic factors

- Minority entrepreneurs
- Young entrepreneurs
- Working couples (co-preneurs)
- Women entrepreneurs
- Urbanization
- Part time entrepreneurs
- Home based entrepreneurs

3. Entrepreneurial education

4. Incubation centers and supporting services

5. Shift to a service economy

6. Technological advancements

7. Self accomplishment and gratification

8. Personal reasons

9. E-commerce and World Wide Web

How to become an entrepreneur?

Most of the people think that there is only one way to become entrepreneur i.e. creating your own business

Join family business, Sole proprietors **(Inside-out approach, Outside-in approach)**

- Engineer
- Doctor
- Chemist
- Business student
- Professional

Multiple ways to become an entrepreneur are:

- Create a new venture
- Buying an existing business
- Family entrepreneurship
- Franchising

How to create a new venture?

Starting the business from scratch requires more time, more risk, more finance, and it also carries more uncertainty

Issues and challenges

- Role of incubation centers
- The role of networks
- Lack of market knowledge
- Lack of skilled labor
- Limited financial capability
- Product development

Stages of new venture creation

- Cultural and market awareness
- Information seeking
- Strong intention to start a business
- Idea for a product or a service
- Pre-start preparation
- Start-up challenges
- Growth and expansion
- Networking
- Trainings

Key Points to Consider

- Economic forces
- Exciting aspects of entrepreneurship
- Your business plan
- Resources difficult to obtain!
- Marketing research and information seeking
- Investors
- Product development
- Competitors
- Entrepreneurship myopia

How to buy a business?

Critical questions

- Relevant experience!
- Potential of business
- Market and target segment
- Price and payment methods
- Business liability
- Diversification justified
- Business sustainability
- Brand

Advantages

- Successful existing business
- Already have best location
- Employees and suppliers are already established
- Fixed expenses e.g. equipment's are already installed
- Productive quality is already known
- Inventory is already in place
- Use of experience of previous owner
- Save the time, energy and cost
- Customers and market are already developed

Disadvantages

- It's a loser!
- Faulty business model
- Unsatisfactory location
- Obsolete equipment
- Outdated inventory
- Bank corrupt
- Financial assessment (Faulty)
- Negative brand image
- Legal aspects!
- Employee turnover
- Partnership, partners problems!

Finding Out, Why the Business Is For Sale?

Owner's Reasons for Selling

- Old age or illness
- Desire to relocate in a different section of the country
- Decision to accept a position with another company
- Unprofitability of the business
- Loss of an exclusive sales franchise
- Maturing of the industry and lack of growth potential

Beware of sellers who may have **"cooked the books"** to make the business more attractive

Examining the Financial Data

Important Guidelines

- Review financial statements
- Reviewing returns for the past five years.
- Recognize that financial data can be misleading.
  - I. Assets overvalued
  - II. Expenses overstated/understated
  - III. Income underreported
  - IV. Unrecorded debts
- Adjust asset valuations to reflect the true state of the business.

Investigating and Evaluating Available Businesses

Important Advices

1. Due Diligence

The exercise of prudence, such as would be expected of a reasonable person, in the careful evaluation of a business opportunity.

2. Relying on Professionals

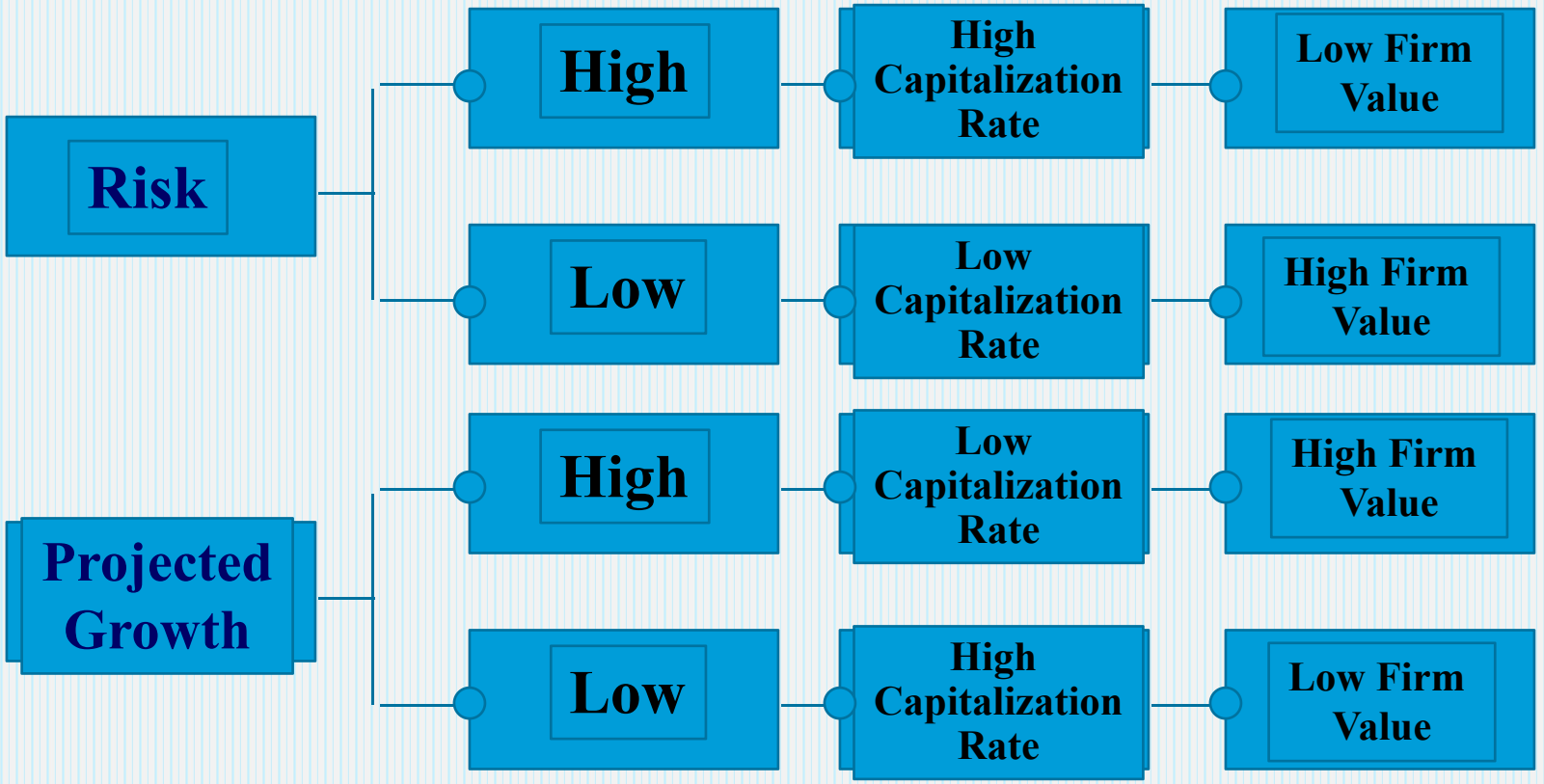
- Accountants
- Attorneys
- Other experienced business owners

Buying existing business: Evaluation Methods

Valuation of a Business

Asset-Based Valuation Approach	• Examines the value of business assets taken separately • Does not reflect the value of a going concern
Market-Based Valuation Approach	• Looks at similar businesses sold recently
Earnings-Based Valuation Approach	• Considers future earnings
Cash Flow-Based Valuation Approach	• Is based on future cash flows • Is the best theoretical method • Requires a more complex procedure

Determinants of a Firm's Capitalization Rate



Non-quantitative Factors to Consider in Valuing a Business

- Competition
- Market
- Future Community Developments
- Legal Commitments
- Union Contracts
- Buildings
- Product Prices

Negotiating and Closing the Deal

1. Terms of Purchase

- Assets purchase or total entity
- Indemnification clause
- Payment in full or partial payments over time

2. Closing the sale

- Best handled by a third party
- Bill of sale
- Tax certifications
- Payment-to-seller agreements and guarantees

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Theme 03: Routes to Entrepreneurship: Joining a Family Business

Videos 24-34

Family owned business

Definition

- Family ownership/control
- Consortium of families
- Managed by the family members
- Concern for family relationships
- Family succession

Characteristics for success

- Shared vision, values and goals
- A well-formulated strategic plan
- Well written procedures
- Expectations (family participation)
- Guidelines for succession
- Participation by outside advisors
- Family time and family union
- Professional management
- Proper governance structures
- Business first policy
- Future Diversification plan

Challenges

- Family rivalry
- Glass ceiling (female family members)
- Difficulty of multiple roles
  - Parent vs. Professional roles
  - Different management styles
  - Financial accountability
- Too much family involvement
- Succession delays
  - Fear of death
  - Reluctance to release control & power
  - Threat to personal identity
  - Bias against planning
  - Inability to chose among children
  - Fear of retirement
  - Jealousy and rivalry
- Boundaries among family, ownership, management systems may become blurred
- Easy come easy go
- Lack of interest in family business

What Is a Family Business?

Family Business: A company that two or more members of the same family own or operate together or in succession.

Competing Interests in a Family Business

Family Concerns

- Care and nurturing of family members
- Employment and advancement in the firm
- Loyalty to the family

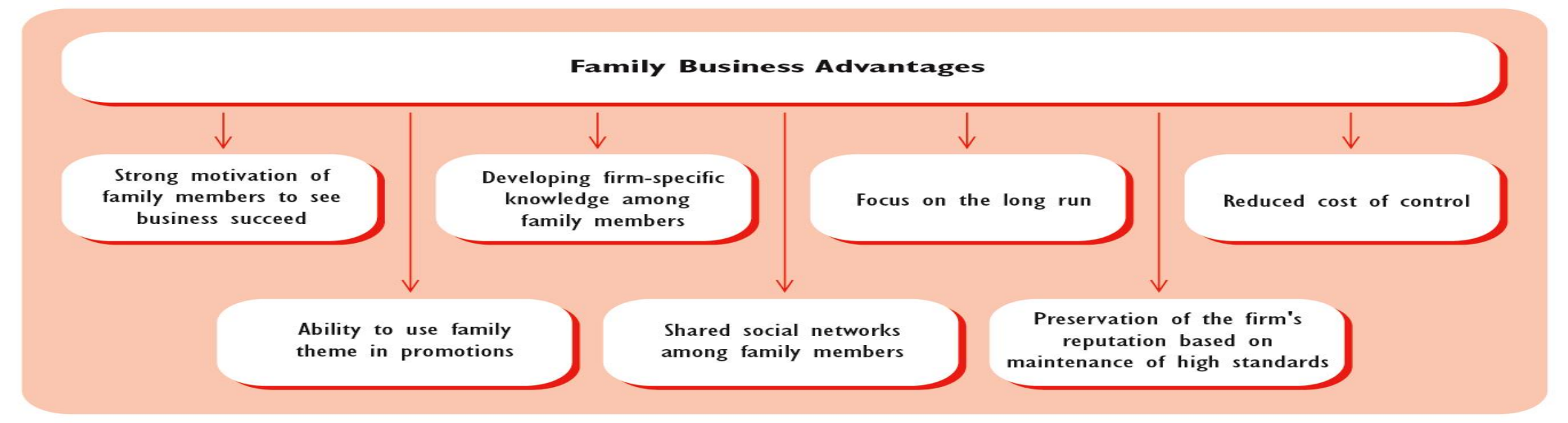
Business Concerns

- Production and distribution of goods and/or services
- Need for professional management
- Effective and efficient operation of the firm

Source: Adapted from Tim Barnett and Franz W. Kellermannas, "Are We Family and Are We Treated as Family? Nonfamily Employees' Perceptions of Justice in the Family Firm," *Entrepreneurship Theory and Practice,* Vol. 30, No. 6 (November, 2006), pp. 837–854.

Advantages of a Family Business

- Strength of family relationships during challenging periods of business change
- Financial sacrifices that family members make for the good of the firm
- Operation as a family business distinguishes the firm from its competitors
- Higher levels of concern for its community and non-family employees
- Capability to plan and prepare for the long run
- Emphasis on quality and value



Family Business Momentum

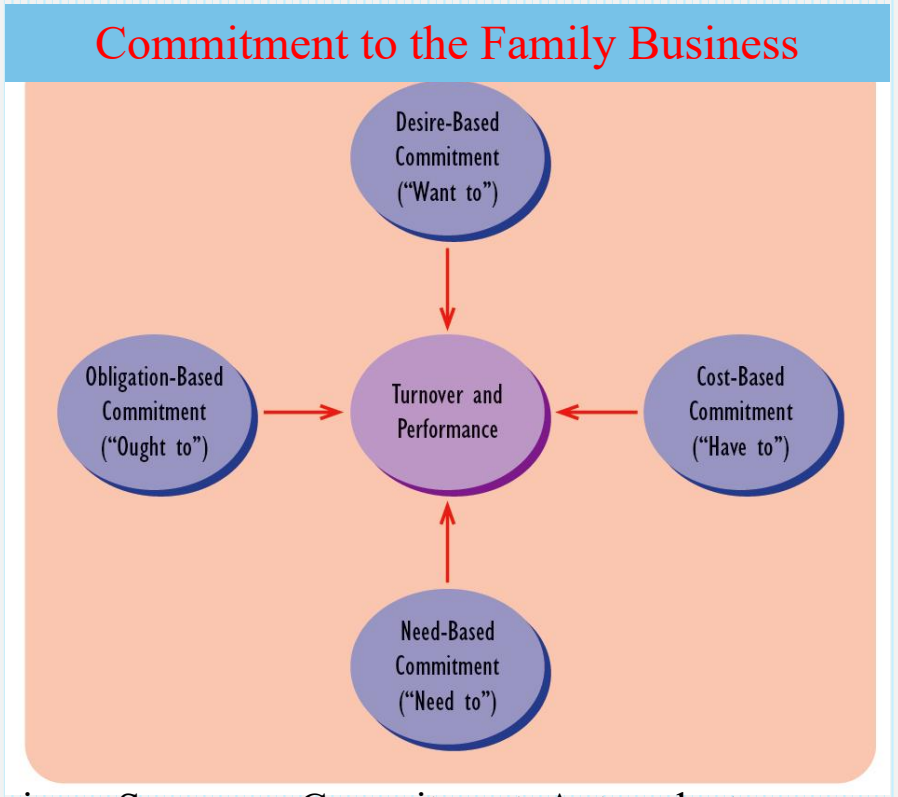
The Founder's Imprint on the Culture

The founder's core values become a transmitted part of the culture (for better or worse).

Organizational Culture

Patterns of behaviors and beliefs that characterize a particular firm.

- ❑ Family Business Cultural Values
- ❑ Mutual respect
- ❑ Integrity
- ❑ Wise use of resources
- ❑ Personal responsibility
- ❑ "Fun"



Source: Based on Pramodita Sharma and P. Gregory Irving, "Four Bases of Family Business Successor Commitment: Antecedents and Consequences," *Entrepreneurship Theory and Practice,* Vol. 29, No. 1 (January 2005), pp. 13–33.

Professional Management of the Family Firm

The Need for Good Management

- Stimulate new thinking and fresh strategic insights.
- Solicit outsiders' input to keep perspective.
- Attract and retain excellent managers.
- Create a flexible, creative organization
- Create and conserve capital
- Prepare successors for leadership
- Exploit unique advantages of family ownership.

Family Roles and Relationships

Parental Concerns in Passing the Business On!

- Does my child possess the temperament and ability necessary for business leadership?
- How can I, the founder, motivate my child to take an interest in the business?
- What type of education and expertise will be most helpful in preparing my child for leadership?
- What timetable should I follow in employing and promoting my child?
- How can I avoid favoritism in managing and developing my child?
- How can I prevent the business relationship from damaging or destroying the parent–child relationship?

Family Roles and Relationships

Husband–Wife Teams...

- Opportunity to share more in each other's lives
- Business differences interfere with family life
- Work doesn't leave time for family life
- Sharing family responsibilities eases the load

Sons and Daughters…

- Personal preferences different from the business
- Personal qualifications insufficient to assume role in business
- Desire for personal freedom to choose another career

Sibling Cooperation, Sibling Rivalry…

- **Best case:** siblings work as a team, each contributing services according to his or her abilities
- **Worst case:** siblings compete as rivals and disagree about their business roles.

In-laws In and Out of the Business…

- ❑ Disagreements about how to treat and reward in-laws and family members/children
- ❑ Assign to different branches or to different business roles

The Entrepreneur's Spouse: Communication between entrepreneur and spouse is critical for their performance as an effective team for both the business and the family.

Family Conflict Resolution

Family Retreats

A gathering of family members, usually at a remote location, to discuss family business matters.

Family Councils

An organized group of family members who gather periodically to discuss family-related business issues.

- Represent the family to board of directors
- Useful in developing family harmony
- Increases understanding of family traditions and interest

Family Business Constitution

A statement of principles intended to guide a family firm through times of crisis and change.

Professional Management of the Family Firm

Non-family Employees in a Family Firm

Hazards:

- Competition with family members for advancement
- politics of family competition within the firm
- Getting caught in the crossfire and

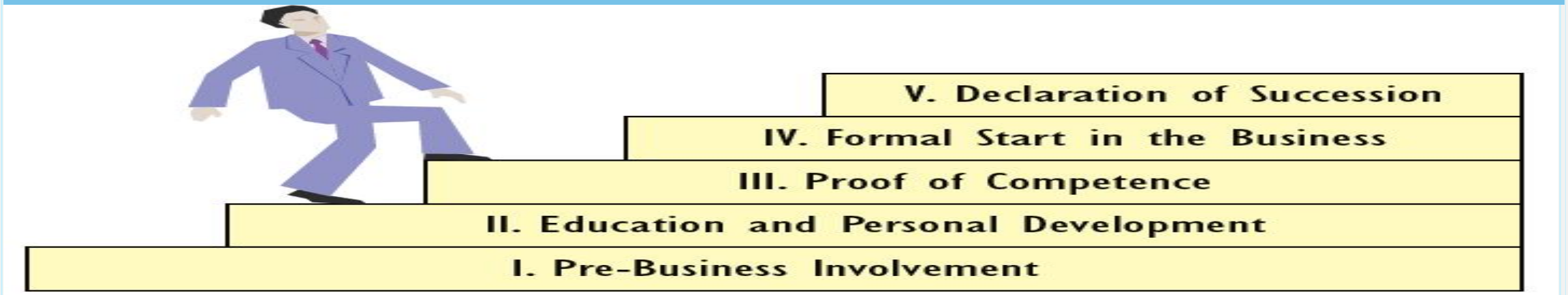
Solution:

- Identify family-only reserved positions in advance

Conditions Favoring Successful Leadership Succession in a Family Firm

- A sound, profitable business
- Stable, healthy family relationships
- Advance planning for leadership succession
- Positive family leadership and a team-oriented management structure
- Presentation of career opportunities without pressure
- **Available Family Talent**

Stages of Succession in a Family Business



Source: Adapted from Johan Lambrecht, "Multigenerational Transition in Family Businesses: A New Explanatory Model," *Family Business Review,* Vol. 18, No. 4 (2005), pp. 267–282.

Reluctant Parents and Ambitious Children

- Transfer/Types of Ownership
- Passing ownership of a family business to the next generation
  - ✓ Who will inherit the family firm? When?
  - ✓ should each heir receive an equal share?
  - ✓ Should ownership be transferred gradually?
  - ✓ How are tax considerations to be handled?
  - ✓ What to do with other wealth and assets of the founding entrepreneur?

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Theme 04: Routes to Entrepreneurship: Franchising

Videos 35-41

Franchising

Definition

A marketing system revolving around a two-party agreement, whereby the franchisee conducts business according to the terms specified by the franchisor.

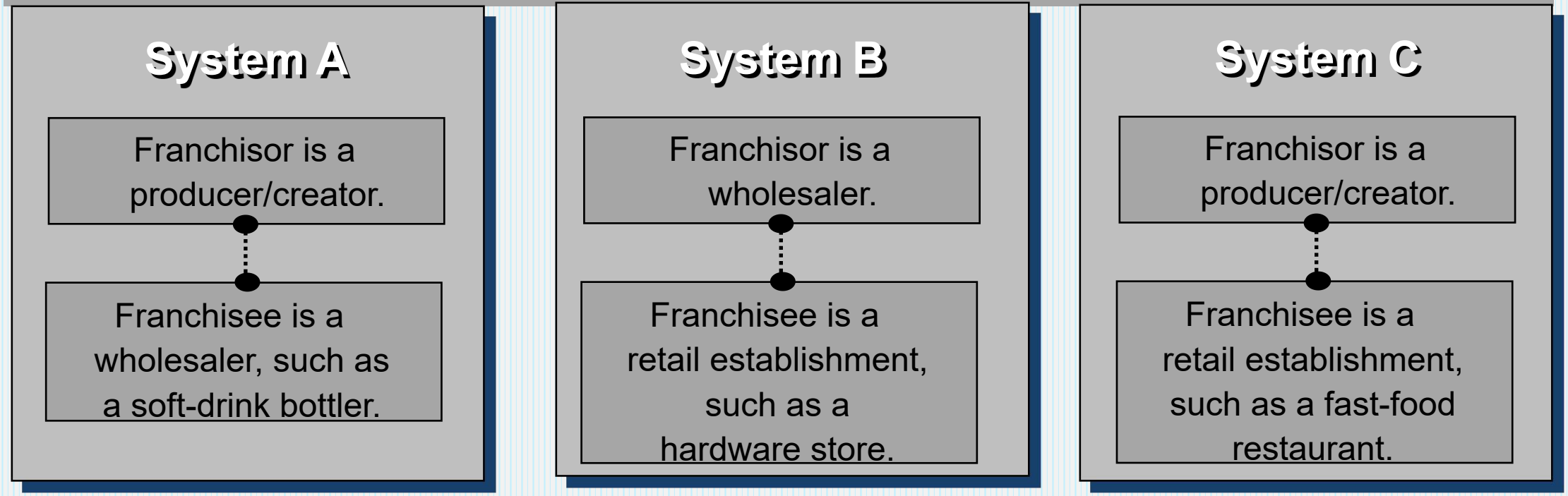
Franchisor

The party in the franchise contract that specifies the methods to be followed and the terms to be met by the other party.

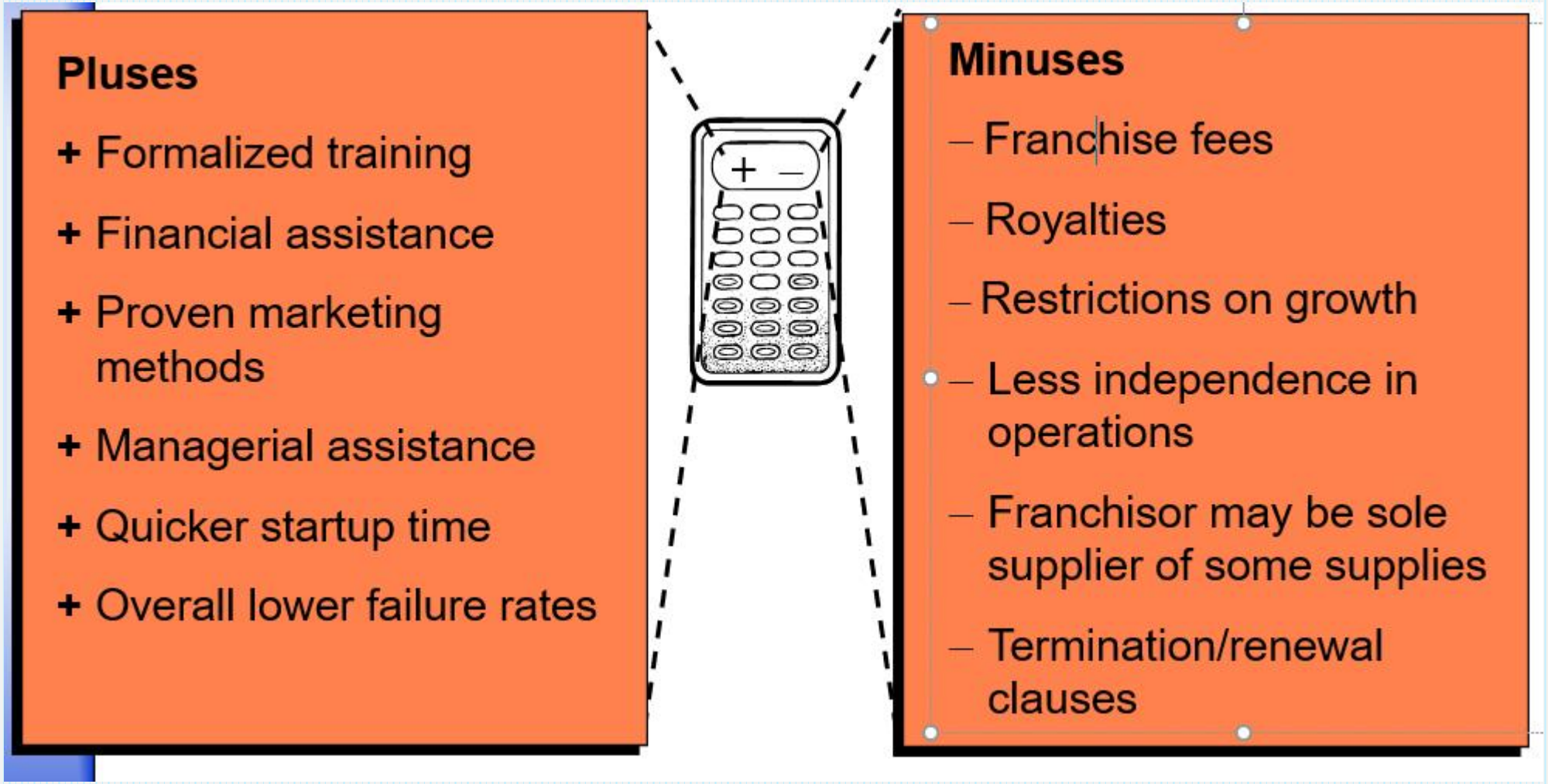
Franchisee

An entrepreneur whose power is limited by a contractual agreement with a franchisor.

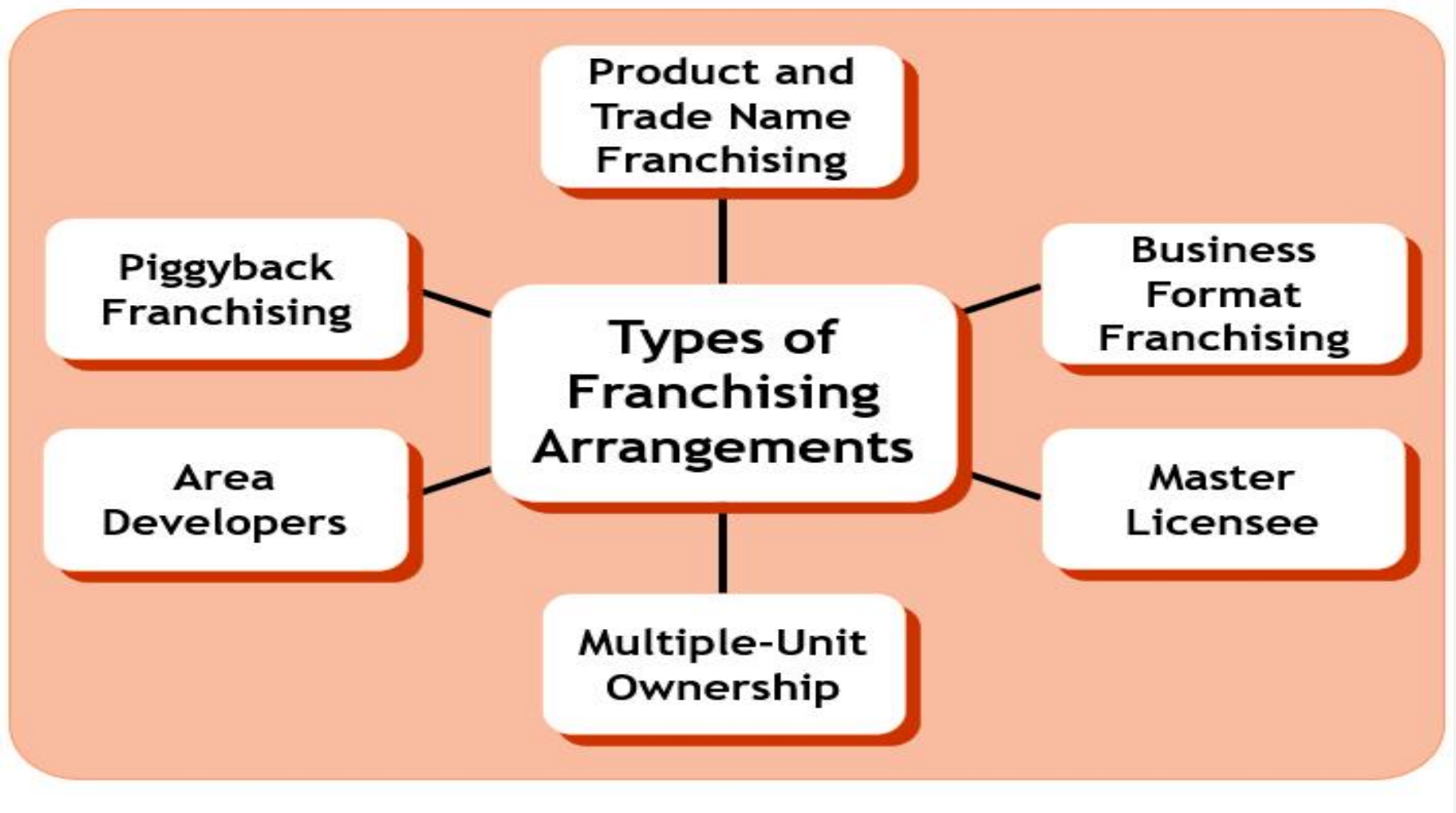
Alternative Franchising Systems



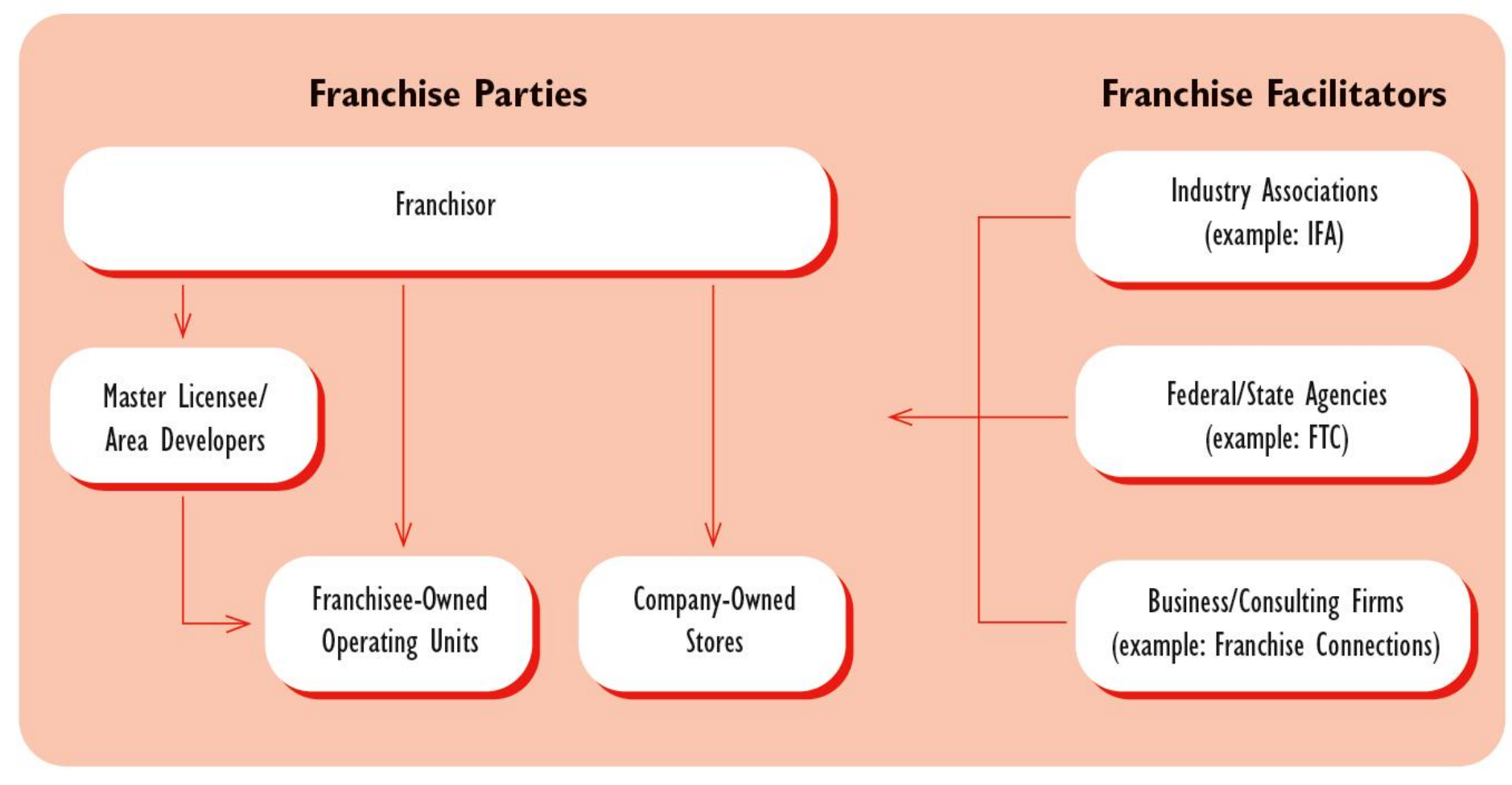
Pluses and Minuses of Franchising



Franchising Options



The Structure of Franchising



Typical Franchising Costs

- Initial Franchise Fee
- Cash Investments
- Royalty Payments
- Advertising Expenses

Typical Franchising Controls

- Restriction Sales Territory
- Approval of cite and facility's appearance
- Restrictions of goods and services to be sold
- Required operating hours and advertising

Evaluating Franchise Opportunities

- Selecting a Franchise Opportunity
  - Personal observation
  - Advertisements
    - Existing and previous franchisees

Investigating the Potential Franchise

- Information sources
  - Independent, third-party sources
    - Federal Trade Commission
    - Internet
    - Franchise consultants
    - Franchisors themselves
    - Disclosure documents

Key elements of Franchiser - Franchisee Relationship

- Responsiveness
- Empathy
- Communication
- Dependability
- Accessibility
- Give and Take
- Anticipation
- Structure
- Open Mindedness

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Theme 05: Routes to Entrepreneurship: Characteristics of Successful Entrepreneurs

Videos 42-55

Co-entrepreneurship

Coprenurship as enterprising couples/partners who work in and share ownership of, commitment to, and responsibility for their business.

How to become copreneurs?

- Co-founder
- Advisor
- Investor

Issues in Co-entrepreneurship

- Personality conflicts
- Risk taking behavior
- Personal life and commitments
- Team conflicts
- Shares of business and profits
- Scale up issues

Minority and Senior Entrepreneurs

Who are minorities ?

A group of people who experience relative disadvantage as compared to members of a dominant social group.
Minorities are based on **Gender, Ethnicity, Race, Religion, Linguistic, Disability**

Issues as minority entrepreneur

- Dealing with Discrimination
- Access to finance
- Additional Competition
- Misuse of emtions, language, and religion

Senior Entrepreneurs: The fastest growing group of new entrepreneurs - Becoming entrepreneurs at later age (after the age of 50 years), nearing in their retirement, and early retirement

Financial and non-financial motives for senior entrepreneurship

1. More knowledge and experience
2. Corporate downsizing
3. More personal fulfillment or self-actualization
4. Growing worries for additional income
5. Quality time and healthier life

Part-time and home based entrepreneurs

Approach 1: Full time entrepreneurs - Key Considerations

1. Financial risk
2. Over reliance on venture sustainability and income
3. More stress

Approach 2: Part-time entrepreneurs - Key Considerations

1. The role of financial motives and non-financial motives
2. Social pressure
3. You might burn out
4. Main occupation might suffer
5. Over commitment
6. Risk and time management

Home-based entrepreneurship - Key Considerations

1. Scale-up issues
2. Financing
3. Work-life balance

Social entrepreneurs

What is a social entrepreneur?

A social entrepreneur is a person who pursues novel applications that have the potential to solve community-based problems. - Doing business for a social cause.

Exampls of social entrepreneurship/entrepreneurs

- NGOs (Non-Governmental Organization) model is based on funding/donations only
- Microfinance Institutions (MFIs)

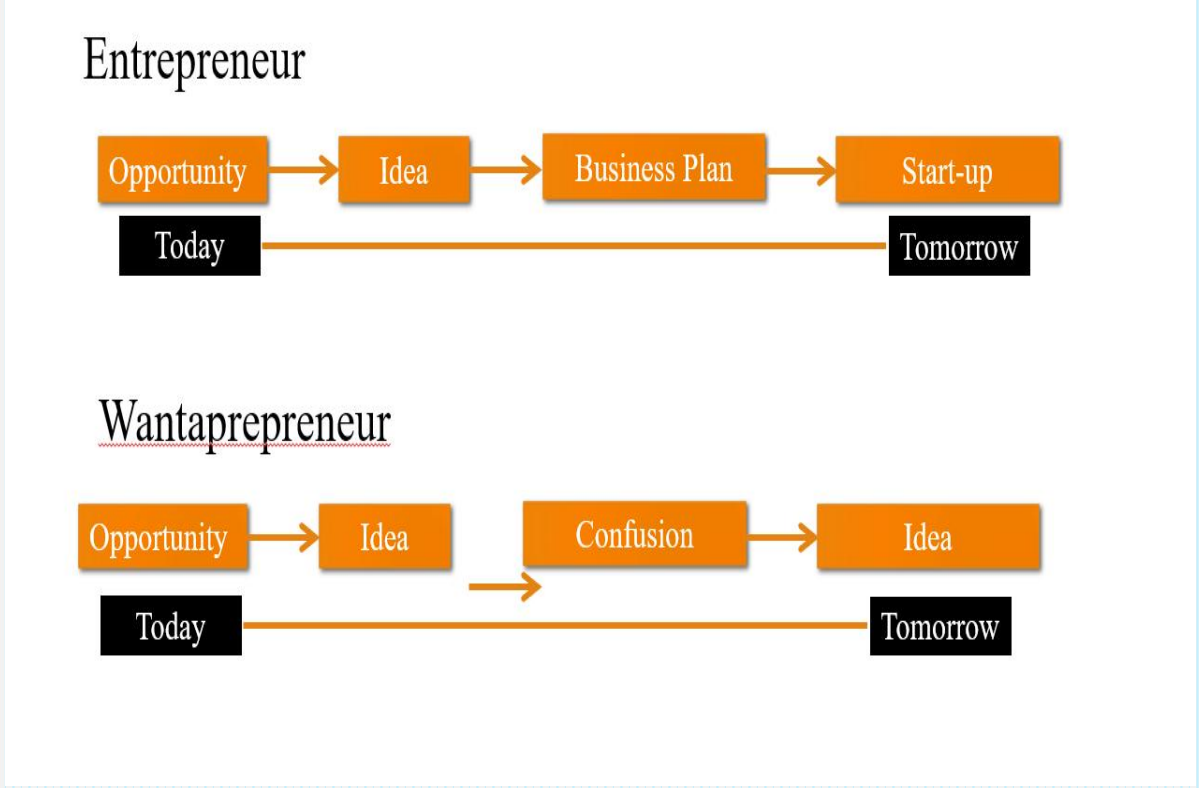
Challenge of social enterprises

1. Financial self-sufficiency
2. Operational self-sufficiency
3. Business Sustainability

Who are Wantrepreneurs?

Wantrepreneurs - Key Considerations

1. Waiting for perfect conditions
2. Aiming too high especially for money
3. Too big plans
4. Conflused
5. Following the passion of others
6. Too much worried about capital and personal image
7. Not willing to sacrifice
8. Keep complaining about failures
9. Do not take responsibilities of your actions
10. Easily get discouraged
11. Risk-averse
2. Day dreaming



Pitfalls - Entrepreneurial advice

Pitfalls

1. Lack of managerial skills
2. Lack of experience
3. Poor financial control
4. Weak marketing efforts
5. Failure to develop a strategic plan
6. Uncontrolled growth
7. Poor location
8. Improper inventory control
9. Incorrect pricing
10. Inability to make entrepreneurial transition

How to avoid Pitfalls?

1. Self-awareness
2. Know your business in depth
3. Develop a solid business plan
4. Manage financial resources
5. Understand financial statement
6. Learn to manage people efficiently
7. Keep in tune with yourself
8. Marketing research and intelligence
9. Networking
10. Expert advice

Successful entrepreneurs

Characteristics of successful entrepreneurs

- Passion for business
- Tenacity despite failure
- Execution Intelligence
- Disciplined
- Self starter
- Strong work ethic
- Open minded
- Self-assurance
- Empathy
- Vision
- Self-investment
- Optimistic
- Creative

Some Key skills of successful entrepreneurs

- Goal setting
- Information seeking
- Opportunity seeking
- Learning
- Persistence
- Planning & Monitoring
- Financial intelligence
- Market intelligence
- Persuasion & Influence
- Quality Assurance
- Efficiency
- Reading financial statements
- Marketing and sales
- Communication skills
- Networking
- Digital Marketing

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Theme 06: The entrepreneurial process

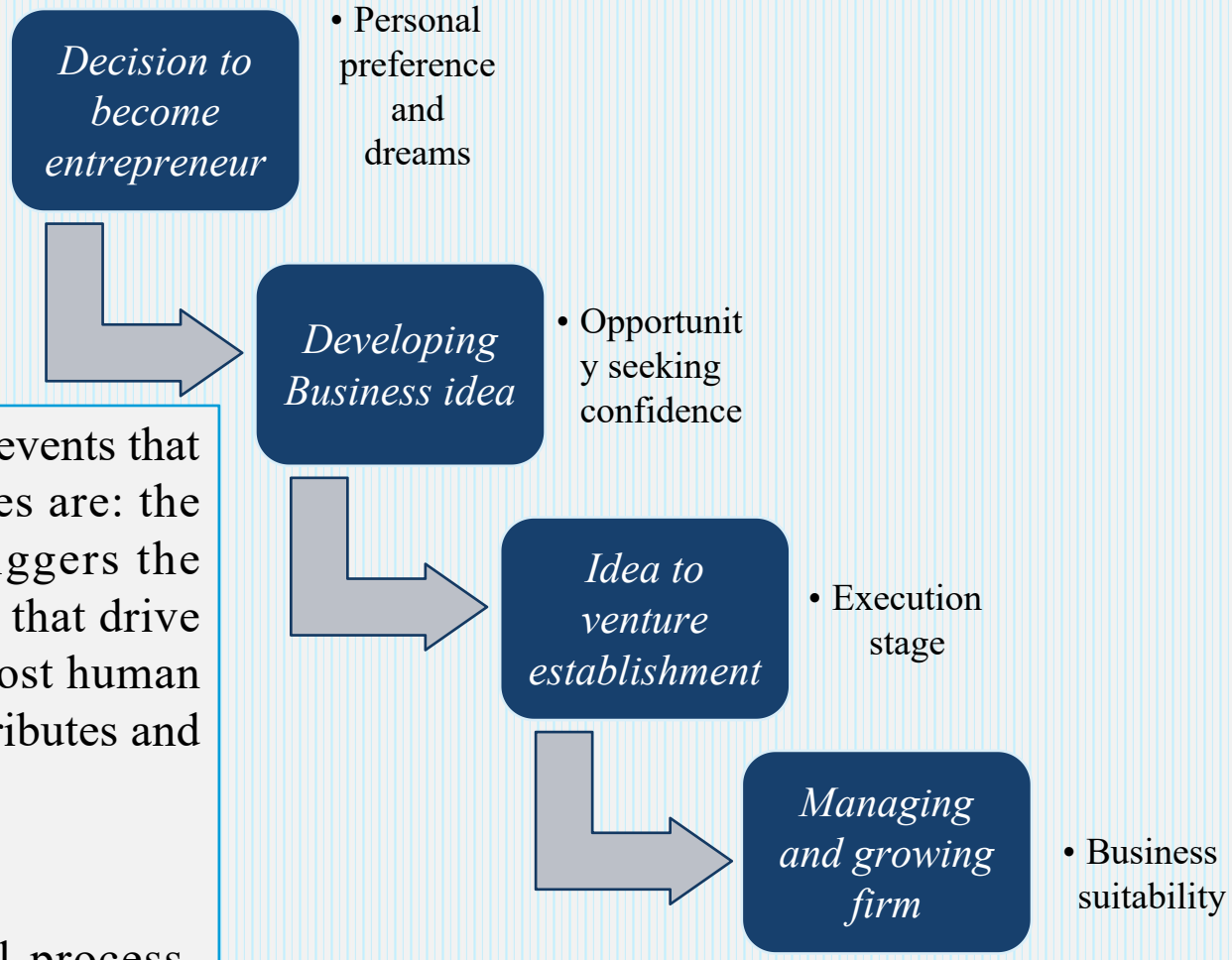
Videos 56-69

Entrepreneurial process

The **entrepreneurial process** includes all the functions, activities, and actions that are part of perceiving opportunities and creating organizations to pursue them.

It is a long-term process and requires:

- ✓ Hard and smart work
- ✓ Personal commitment
- ✓ Consistency and persistence



Also, The Entrepreneurial Process is a set of stages and events that follow one another. These entrepreneurial process stages are: the idea or conception of the business, the event that triggers the operations, implementation and growth. A critical factor that drive the development of the business at each stage as with most human behavior, entrepreneurial traits are shaped by personal attributes and environment.

William Bygrave
Source: https://www.barrazacarlos.com/entrepreneurial-process-stages/

The Entrepreneurial Traits

- Knowledge and inspiration
- Dream, Desires, Inventiveness
- Determination,Trial & Error, Productivity and efficiency
- Leadership, Networking

The Entrepreneurial Process

- Idea
- Venture Development
- Productiona and Operations
- Sustainability and Growth

Group Discussions

Group Discussion 1: Academicians and Practitioners View (part 1): Are entrepreneurs born or made?

Group Discussion 1: Academicians and Practitioners View (part 2): Are entrepreneurs born or made?

Group Discussion 2: Family Entrepreneurs (Part 1): How they started and what challenges they face?

Group Discussion 2: Women (Part 2): How they started and what challenges they face?

Business opportunity

What is a business opportunity ?

An opportunity is a favorable set of circumstances that creates a need for a new product, service, or business.

A business opportunity represents a possibility for the entrepreneurs to successfully fill a large enough unsatisfied need that results in enough sales and profits.

- ✓ **A misperception about opportunity is that it must be unique.**
- ✓ **Opportunity can be externally stimulated.**
- ✓ **Opportunity can be internally stimulated.**

- ✓ Entrepreneur recognize a problem or an opportunity gap and creates a business to fill it.
- ✓ Picking a currently available product or service and trying to build a business around a slightly better of it.

Source: barringer and Ireland

Qualities of good opportunity

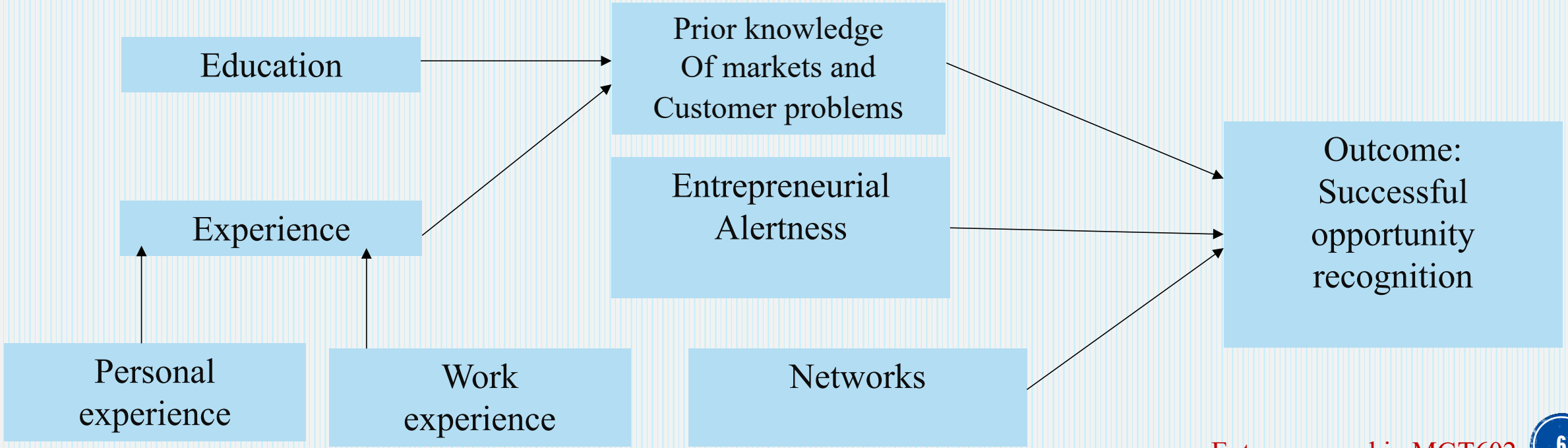
- Timely
- Attractive
- Durable
- Product or service that adds value for buyer or end-user
- Window of opportunity

Difference between idea and opportunity

Idea is a thought, an impression, or a notion. It may or may not meet the criteria of an opportunity.

Opportunity must possesses all four qualities i.e. attractive, durable, timely and value laden.

Model of the opportunity recognition process



Three major ways of identifying an opportunity

1- Observing trends

Observing trends

- Green trend
- Clean energy trend and global warming
- Organic orientation trend
- Fitness and health trend
- Social networking trend
- Traveling and adventure
- Bloggers, vloggers and virtual communicates

2- Solving a problem

Demographic and Social Forces

- Aging
- Working couples
- Single parents
- Region and ethnic groups
- The diversity of workforce

3- Finding a gap in market place

Economic and Technological Forces

- Command Economy
- Market Economy
- Mixed Economy
- Big Data
- Cloud Computing
- Atificial Intelligence
- Augmented Reality
- Machine Learning

What is Social Innovation?

World Economic Forum defines social innovation as “the application of innovative, practical, sustainable, market-based approaches to benefit society in general, and low-income or underserved populations in particular”.

Source: http://reports.weforum.org/social-innovation/why-social-innovation-matters-to-business/?doing_wp_cron=1566296386.4123868942260742187500

Who are the Social Entrepreneurs?

Social entrepreneurs are individuals who recognize a social problem and use their entrepreneurial skills to create a program, business or process to find a solution.

Source: https://www.investopedia.com/terms/s/social-entrepreneur.asp

Gap in the Market Idea

- ✓ It is something new and original.
- ✓ It improves on something that already exists.
- ✓ It takes something that exists and finds it a new market.

- ✓ **Industry Analysis**
- ✓ **Market Research**
- ✓ **Market Intelligence**

Brainstorming

Brainstorming is a method for generating ideas to solve a problem in a group. It is usually conducted in a group with a moderator or facilitator. It allows participants to be stimulated to greater activity by meeting in an organized group experience.

- ✓ No criticism or no negative comments in the beginning
- ✓ All types of wild ideas are welcome
- ✓ Quantity of ideas is desired
- ✓ Think out of the box
- ✓ Combination of ideas brings improvement and may produce new ideas

Brainwriting: Writing all ideas on a paper or cards and circulating among participants.

Problem Inventory Analysis: List of product, market or service related problems is provided to participants

Mind Mapping: A mind map is a graphical representation for organizing information. Mid mapping process starts with writing a central idea and coming up with new and associated ideas that branch out from the central idea.

Visualizing, Structuring, and idea classification are the main features of mind mapping.

Techniques of idea generation

- Habit of reading
- Most underutilized resource
- Sources of Information
  - Industry specific magazines
  - Trade journals
  - Industry reports
  - Databases
  - Market Research Reports
- Internet
- Incubation Centers
- Friends and Family
- Expert Opinion

What is intuition ?

The ability to understand something instinctively, without the need for conscious reasoning.

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Theme 07: Entrepreneurship and Creativity

Videos 70-86

Innovation

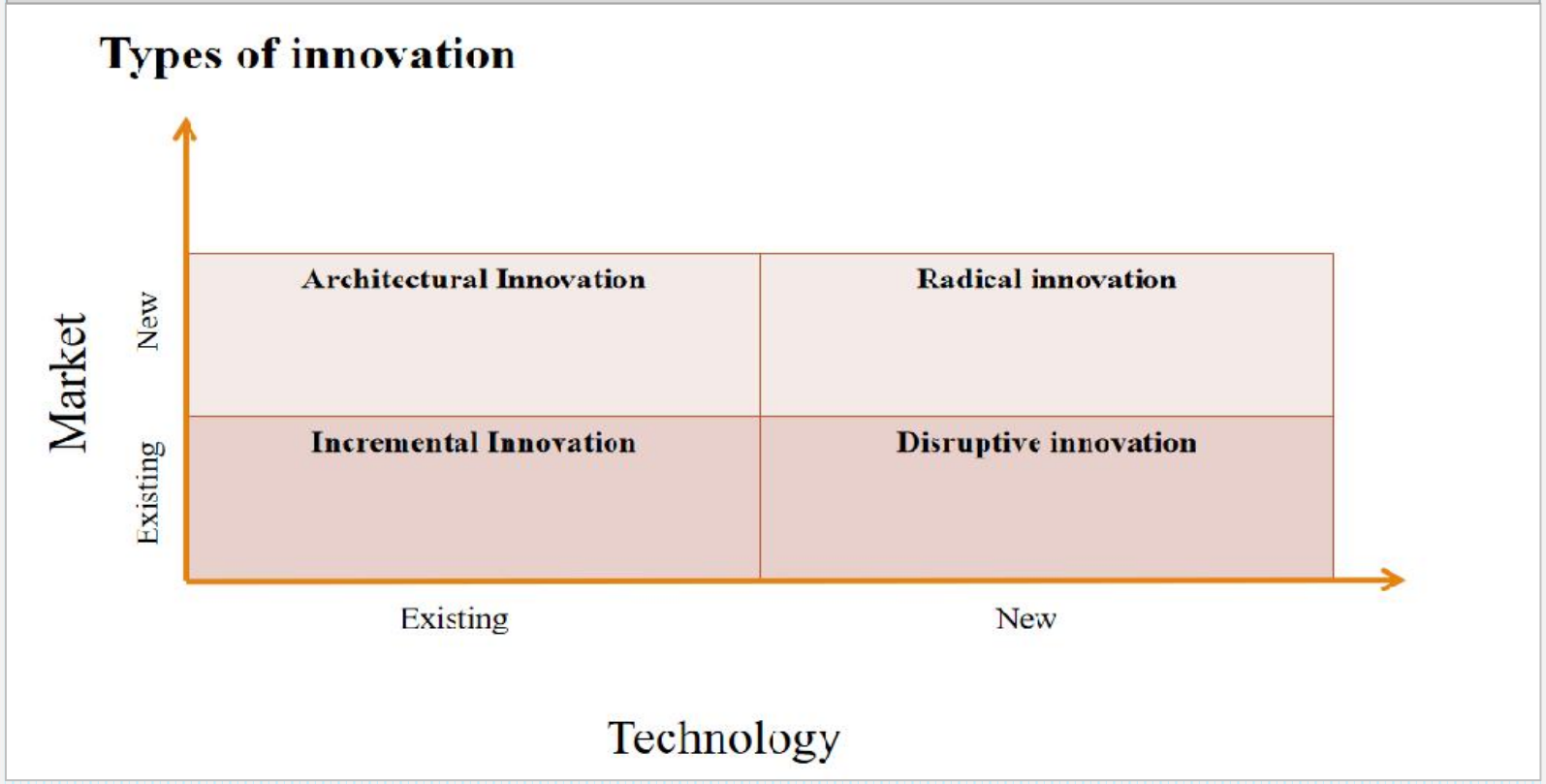
The process of translating an idea or invention into a good or service that creates value for which customer will pay.

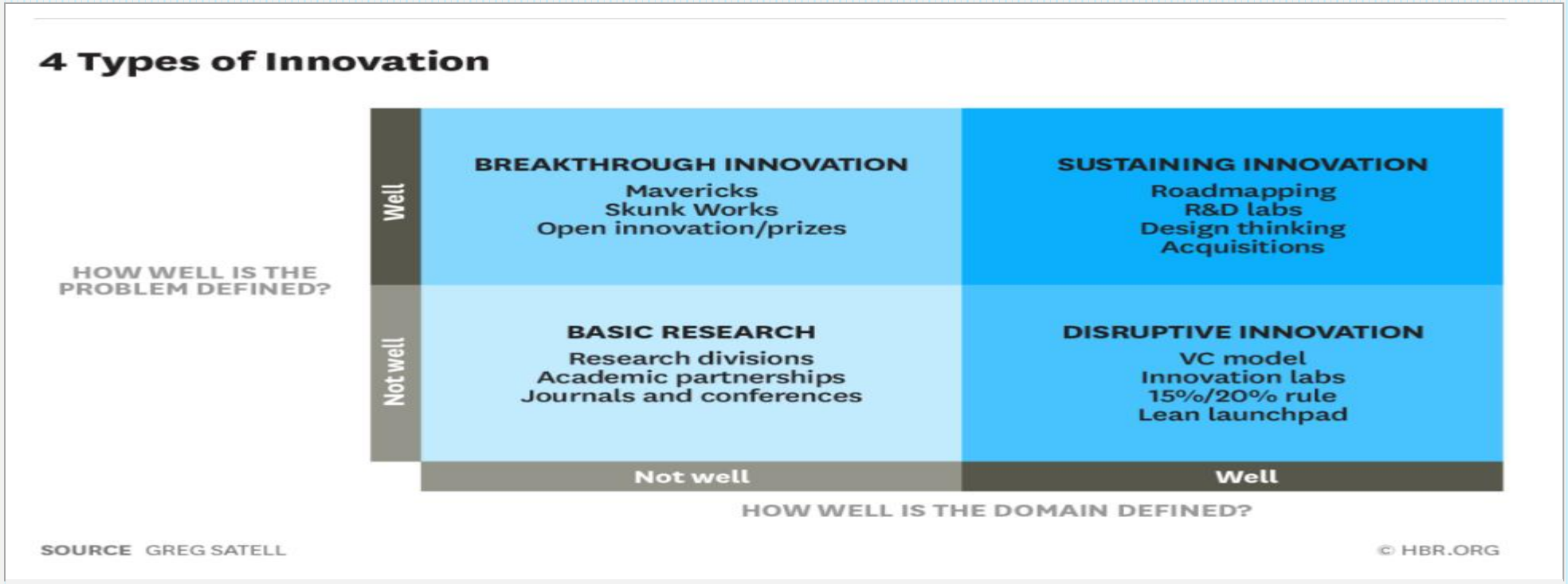
Making a product or service better, faster, cheaper, greater satisfaction with greater value proposition.

2 critical components of Innovation

- Invention
- Commercialization

Types of Innovation





Source: https://hbr.org/2017/06/the-4-types-of-innovation-and-the-problems-they-solve

Product innovation deals with the products and intangible services such as services that meet customer needs.

Business model innovation encompasses innovations in strategy, marketing, supply chains, value creation, pricing - cost structures.

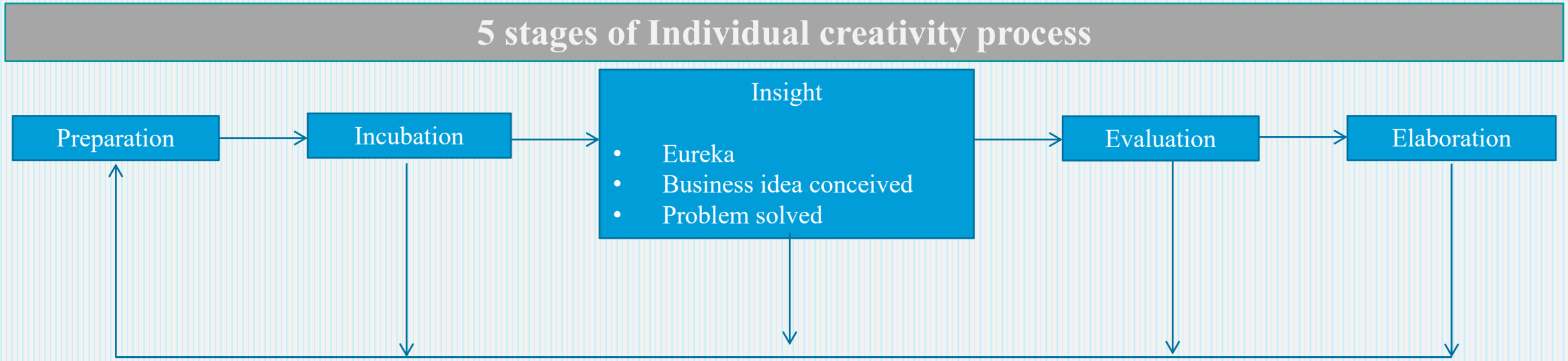
Process and technology innovation makes the process efficient or cost effective.

Market pull innovation originates from the market and are initiated by a specific customer request.

Technology-push innovation is the result of new technologies for which suitable application possibilities are sought and implemented

Creativity

Mental characteristics that allows a person to think outside of the box, which results in innovative or different approaches to particular task. (Use of imagination, Ability to produce/use original and novel ideas)



1. **Preparation**: background, experience and knowledge that an entrepreneurs brings to the opportunity recognition process.
2. **Incubation**: work on an idea while solving a problem.
3. **Insight**: when the idea is completely born and refined. ***Eureka experience:** joy/satisfaction after finding something new.
4. **Evaluation**: when idea is subjected to scrutiny and analyzed for its viability.
5. **Elaboration**: when idea is transformed into new product or service development.

Business opportunity

Personal barriers

1. Personality and behavior
2. Social pressure
3. Lack of passion
4. Lack of direction
5. Fear of failure
6. Making prior assumptions

Cultural barriers

1. Lack of training
2. Misguiding instruction
3. Lack of motivation
4. Lack of basic ability
5. Access to resources

The Feasibility Barriers

1. Blur ideas
2. Financial feasibility
3. Business model feasibility

The Knowledge and experience barrier

1. Lack of prior knowledge
2. Lack of prior experiences
3. Lack of access to information
4. Lack of basic ability

The Regulatory and procedural barriersbarrier

1. Law and policies
2. Registration process
3. Access to raw material
4. Governmental policy
5. Access to resources

The link between Creativity, innovation, opportunity and entrepreneurship

Know Yourself

1. Your passion
2. Your personality
3. Knowledge
4. Experience
5. Observation
6. Network

Know Your Role

1. Propmoter
2. Opponent



Figure 1: Typology of individual innovation response behaviour

	IDEA GENERATION			CONVERSION		DIFFUSION
	IN-HOUSE Creation within a unit	CROSS-POLLINATION Collaboration across units	EXTERNAL Collaboration with parties outside the firm	SELECTION Screening and initial funding	DEVELOPMENT Movement from idea to first result	SPREAD Dissemination across the organization
KEY QUESTIONS	Do people in our unit create good ideas on their own?	Do we create good ideas by working across the company?	Do we source enough good ideas from outside the firm?	Are we good at screening and funding new ideas?	Are we good at turning ideas into viable products, businesses, and best practices?	Are we good at diffusing developed ideas across the company?
KEY PERFORMANCE INDICATORS	Number of high-quality ideas generated within a unit.	Number of high-quality ideas generated across units.	Number of high-quality ideas generated from outside the firm.	Percentage of all ideas generated that end up being selected and funded.	Percentage of funded ideas that lead to revenues; number of months to first sale.	Percentage of penetration in desired markets, channels, customer groups; number of months to full diffusion.

The innovation value chain: **Source:** Morten T. Hansen and Julian Birkinshaw **Harvard Business Review**

Group Discussions

Group Discussion 1: Protecting your business idea: what is Intellectual property (IP) and what is intellectual

Group Discussion 2: Protecting your business idea (Patent, Trademarks, and Copyrights etc.)

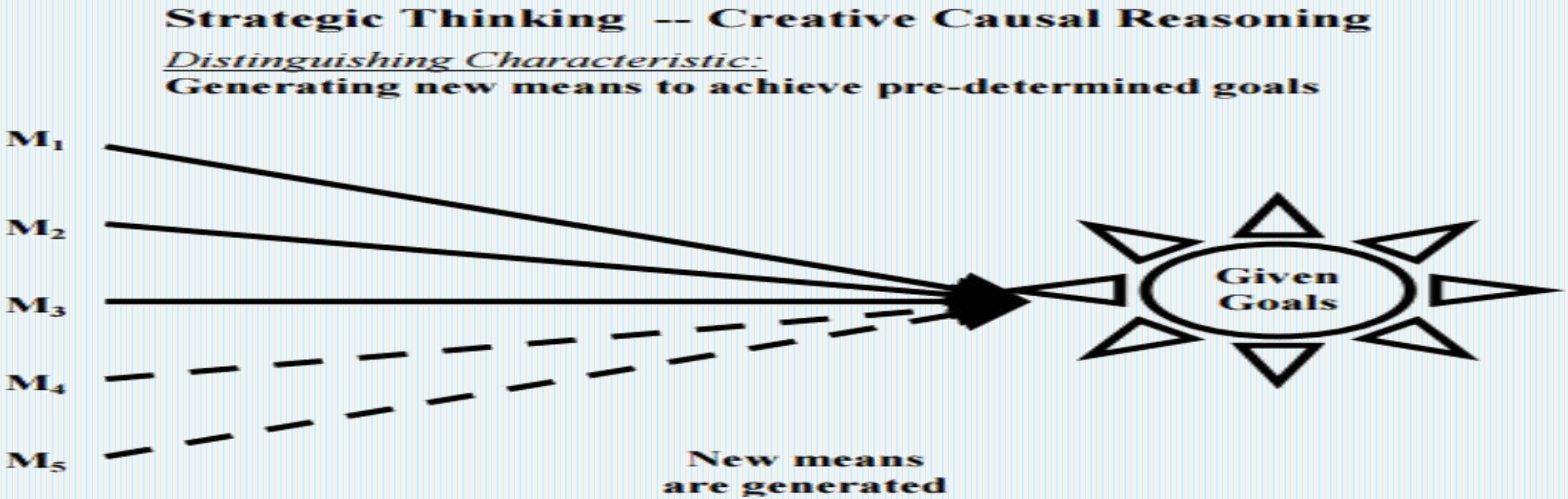
Group Discussion 3: The interview with an entrepreneur: How to open third eye for opportunity hunting?

What makes entrepreneurs entrepreneurial? OR How do entrepreneurs become entrepreneurs?

2 Approaches: Causal Reasoning AND Effecual Reasoning (Saras D. Sarasvathy)

Causal reasoning begins with a pre-determined goal and a given set of means, and seeks to identify the optimal, fastest, cheapest, most efficient, alternative to achieve the given goal.

- Causal thinkers are like **great generals** seeking to conquer fertile lands (Genghis Khan conquering two thirds of the known world)
- **Other Examples are** Make-vs-buy decision in production, Choosing the target market with the highest potential return in marketing, Picking a portfolio with the lowest risk in finance, Hiring the best person for the job in human resources management



What makes entrepreneurs entrepreneurial? OR How do entrepreneurs become entrepreneurs?

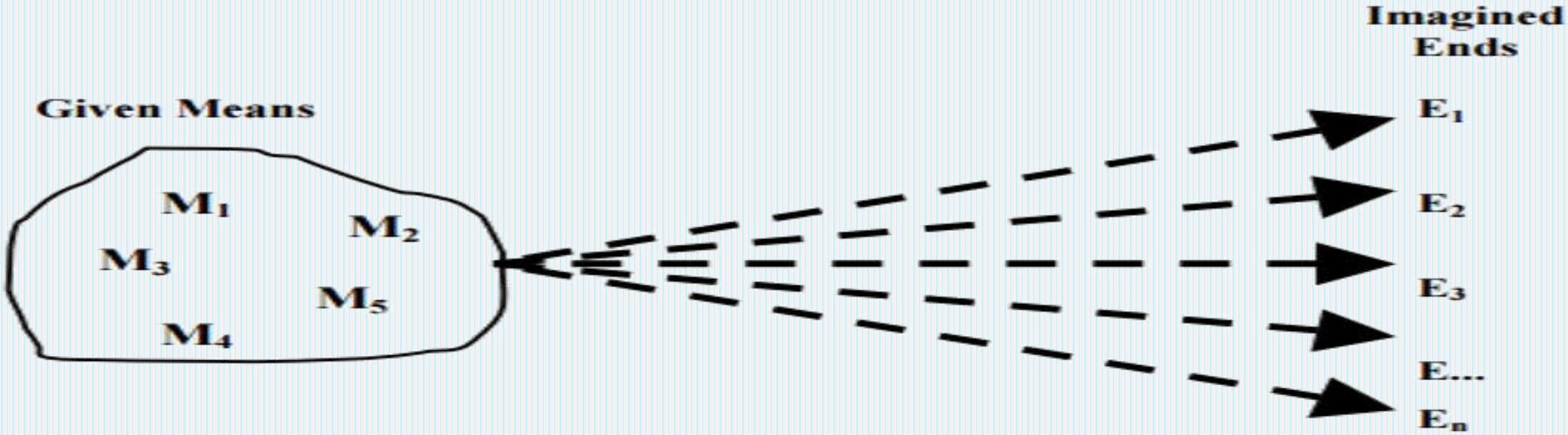
Effectual reasoning, however, does not begin with a specific goal. Instead, it begins with a given set of means and allows goals to emerge contingently over time from the varied imagination and diverse aspirations of the founders and the people they interact with.

- Effectual thinkers are like **explorers** setting out on voyages into uncharted waters (Columbus discovering the new world).

Entrepreneurial Thinking -- Effectual Reasoning

Distinguishing Characteristic:

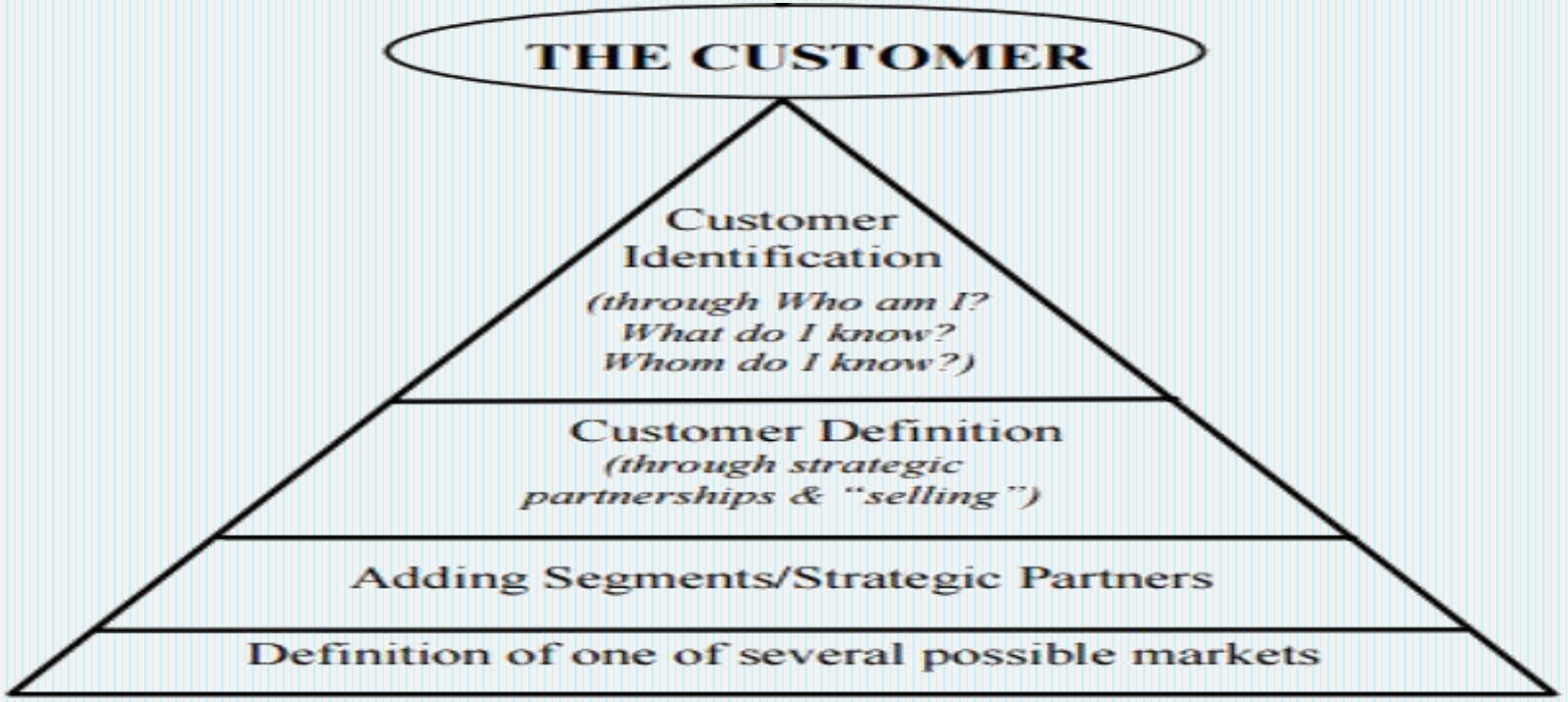
Imagining possible new ends using a given set of means



Effectuation Reasoning: The Process

All entrepreneurs begin with three categories of means:

(1) Who they are? – their traits, tastes and abilities;
(2) What they know? – their education, training, expertise, and experience; and,
(3) Whom they know? – their social and professional networks.



Process of Effectuation Used by Expert Entrepreneurs

EEffectuation: 5 Principles

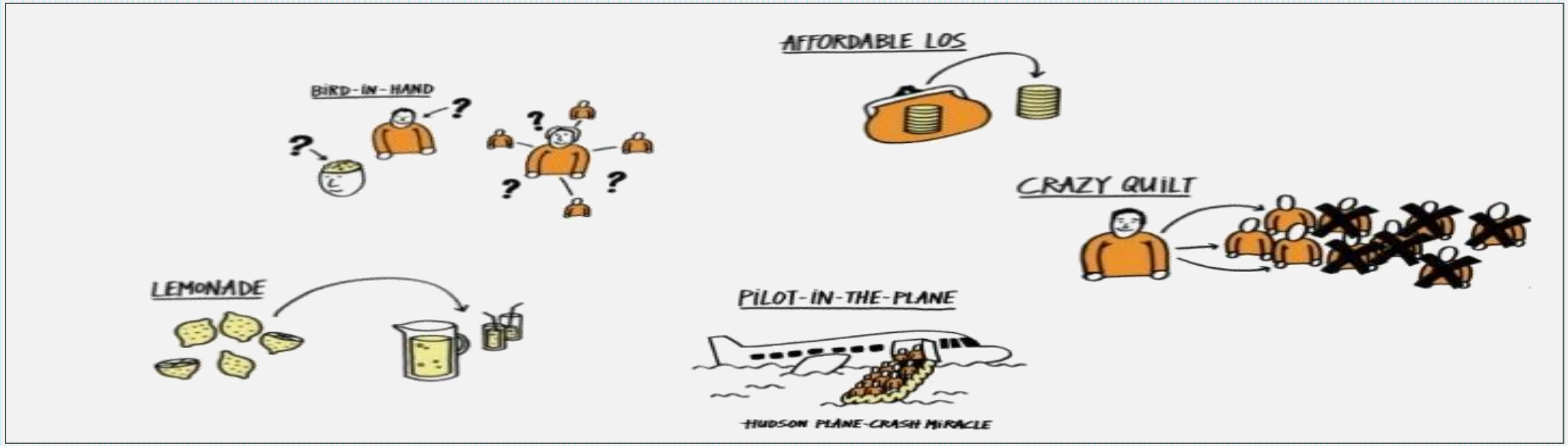
1.Bird in hand principle: Create solutions to the problem with the means/resources available at the moment.

2.Lemonade principle: Surprises and mistakes are unavoidable. An entrepreneur should use the mistakes and surprises to find new opportunities.

3.Crazy quilt principle: Focus on co-creation and partnership instead of competition. It can bring new directions and funds for your project.

4.Affordable loss principle: You should see how to cover the negative side. The best approach is to invest only the amount which you can afford to lose.

5.Pilot-in-the-plane principle: You are yourself responsible for everything. Your future can be influenced by your own actions.)



Workshop Activity

Take pen and paper and write down your resources.

1. Who are you ?
2. What have you acquired so far ?
3. What are your skills ?
4. What is your network including your family, friends, colleagues etc.
5. What is your financial strength ?

✓ Generate the business idea with your available resources
✓ Which is more suitable and viable business idea ?

The interview with an entrepreneur: How entrepreneurs can use their available resources for quick start?

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Theme 08: Strategic Management in Entrepreneurship and E-Commerce

Videos 87-104

Strategic Management

Strategy is an action plan that synchronizes the tangible and intangible resources and for achieving a set target for superior performance.

Strategic Management is a branch of management. It is essential for managing organizational tangible and intangible resources to achieve its long term and short term goals and objective for sustainable competitive advantage in industry.

3 Main phases of Strategic Management

1. Strategy formulation
2. Strategy implementation
3. Strategy evaluation and control

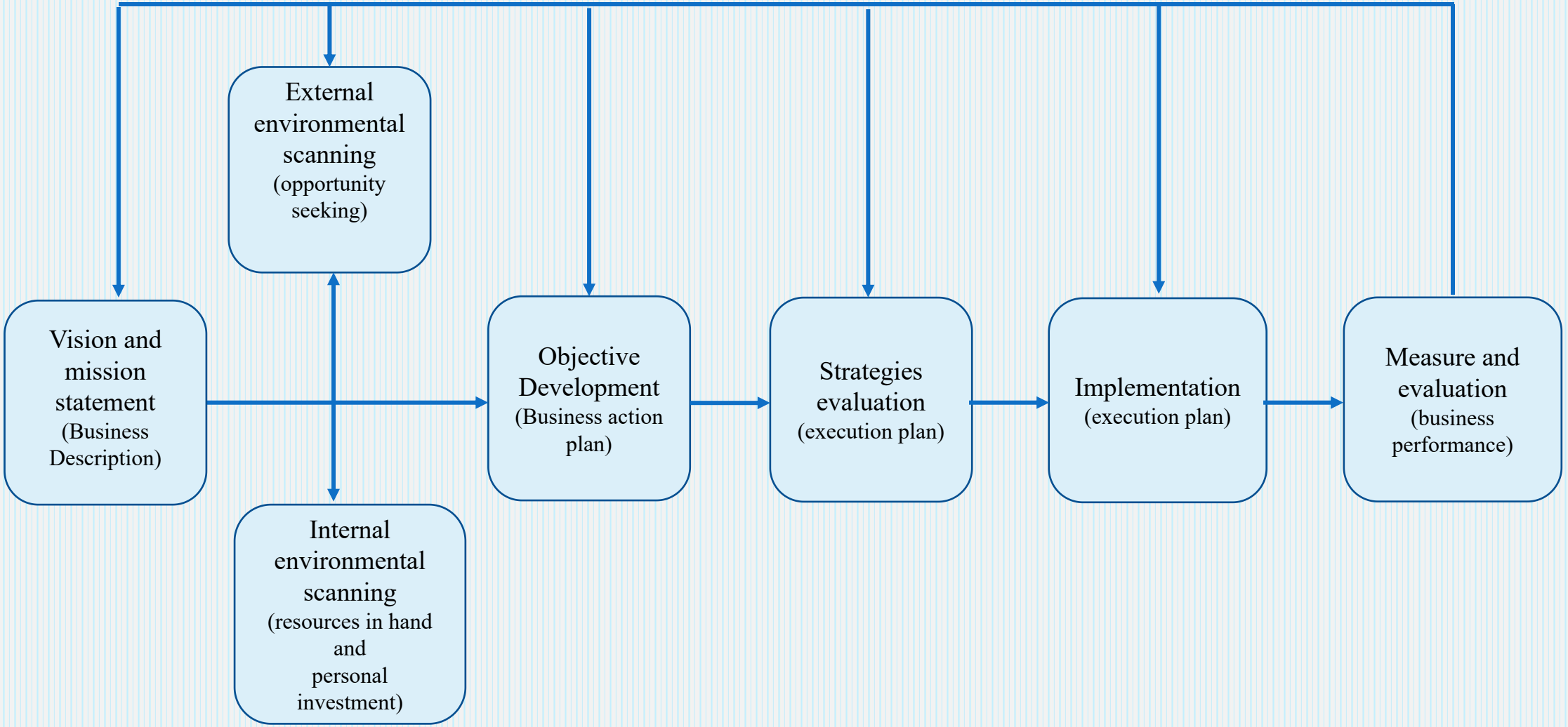
Main Areas of Strategic Management

1. Business vision and mission
2. Internal and external environmental scanning
3. Strategies formulation
4. Analyzing the multiple strategies
5. Sustainable competitive advantage for sustainable growth
6. Implementation and operational execution of strategies
7. Strategies review, measures and control

Strategic Management & Entrepreneurship Over lappings

Creation & growth, Diversification, Performance of firms, Industry dynamics, Competitive advantage, Product ecosystems, Mergers/acquisitions/alliances Innovation, Competitive advantage for new ventures, Strategic management process, Vision and mission of new ventures, Short/long term goals and objectives, SWOT Analysis, Key success factors for being competitive, Analyzing competition, Select appropriate strategies, Establish accurate controls

Strategic Planning Process



Vision & Mission

What is your business?

A mission statement outlines the company's business, objectives and its approach to reach those objectives.

What do we want to become?

Generally, vision statement defines the anticipated future orientation of the business venture.

Characteristics of good vision & mission statement

1. Philosophy
2. Aligned vision and mission statement
3. Customer orientation
4. Market
5. Technology
6. Competitive Advantage
7. Concern for society
8. Concern for employees
9. Future orientation

Benefits of Vision and Mission Statements

1. Brings unanimity of purpose and direction among strategic partners (owner and employees)
2. Provide standards and procedures for execution plan
3. Bring focus in allocation of resources
4. Establish a culture and tone of your venture
5. Serve as a direction and quality standard
6. Set rule to deter those strategic partners who cannot from participate for further growth
7. Facilitate in translating the long-term and short-term goals and objectives into a work structure
8. Motivates for future growth

The Internal Assessments

Strengths are the positive internal factors that a business venture can use to achieve its vision, mission, goals and objectives.

Weaknesses are the negative internal factors that inhibit the business venture's capability to achieve its vision, mission, goals and objectives. It adversely affect the sustainable competitive advantage of a venture.



Tools for internal audit (strength and weakness)

- ✓ Cost/Benefit Analysis
- ✓ Financial Ratios
- ✓ Production and operation assessment

Internal Audit (self-assessment check list example)

- ☐ Am I clear about my destination ?
- ☐ Are my skills sufficient for kick start or growth?
- ☐ What are my limitations ?
- ☐ In which area I am lacking that could adversely/positively affect my venture establishment or growth?
- ☐ Is my network worthy for establishment/growth?
- ☐ What level of commitment I can bring in my venture ?

Internal Audit (Venture assessment check list example)

- ☐ 1. Is venture's objectives and goals measurable ?
- ☐ 2. Is venture's objectives and goals well communicated to strategic partners?
- ☐ 3. Is product/service design competitive?
- ☐ 4. Is selected target market is well thought and planned ?
- ☐ 5. Is my pricing strategy competitive?
- ☐ 6. Are my unique selling proposition well communicated to target market?
- ☐ 7. Is customer orientation well crafted?
- ☐ 8. Is the venture's structure appropriate?
- ☐ 9. Are jobs and requirements clear to all strategic partners?
- ☐ 10. Is strategic partners morale high?
- ☐ 11. Are employee's absenteeism and/or turnover low?
- ☐ 12. Are reward and control mechanisms effective?

The External Assessments

Opportunities are potential options available in the external environment that a venture/entrepreneur can exploit to achieve its vision, mission, goals and objectives

Threats are negative forces available in the external environment that inhibit the business venture's capability to achieve its vision, mission, goals and objectives.



Broad categories of external forces

- Economic forces
- Social, cultural and demographic forces
- Natural environment forces
- Political and governmental forces
- Legal forces
- Technological forces
- Competitive forces
- Sources of External Information

Tools for External Environment Audit

- Marketing intelligence
- Scenario planning
- PEST Analysis (political, economic, social and technological analysis)
- Porter's five forces model (Competition in the industry, New entrants,
  Power of suppliers, Power of customers, Substitute products)

Business Goals and Objectives

Goals are the broad long-range attributes that a business seeks to accomplish; Goals tend to be general and sometimes even abstract.

Objectives are more specific, precise and quantifiable plan of performance addressing areas such as profitability, productivity, growth and other key aspects of a business.

Goals & Objectives are SMART (Both longterm and short term)

- ✓**S**pecific
- ✓**M**easurable
- ✓**A**ggressive but Attainable
- ✓**R**esults-Oriented
- ✓**T**imeframe

Areas of objectives

- Product design
- Innovation
- Market development/diversification/penetration
- Productivity
- Cost efficiency
- Profitability
- Financial resources
- Growth
- Physical infrastructure development
- Team/venture restructuring
- Venture/employees performance
- Customer service
- Social responsibility

The selection of appropriate strategy

Cost leadership strategy: A strategy in which an entrepreneur strives to be low-cost producer relative to its competitors in the industry. It involves mass production, quality compromise, or technological break through.

Cost leadership strategy is applied, when

- ✓ If selling similar product/services
- ✓ If customers are not brand conscious
- ✓ If customers are price conscious and ready to compromise on quality
- ✓ If the industry is price focuses

Differentiation strategy in which the entrepreneur seeks to build customer base by positioning its product or service in a unique or different fashion and where the customers also value its differentiation.

Differentiation strategy is applied when,

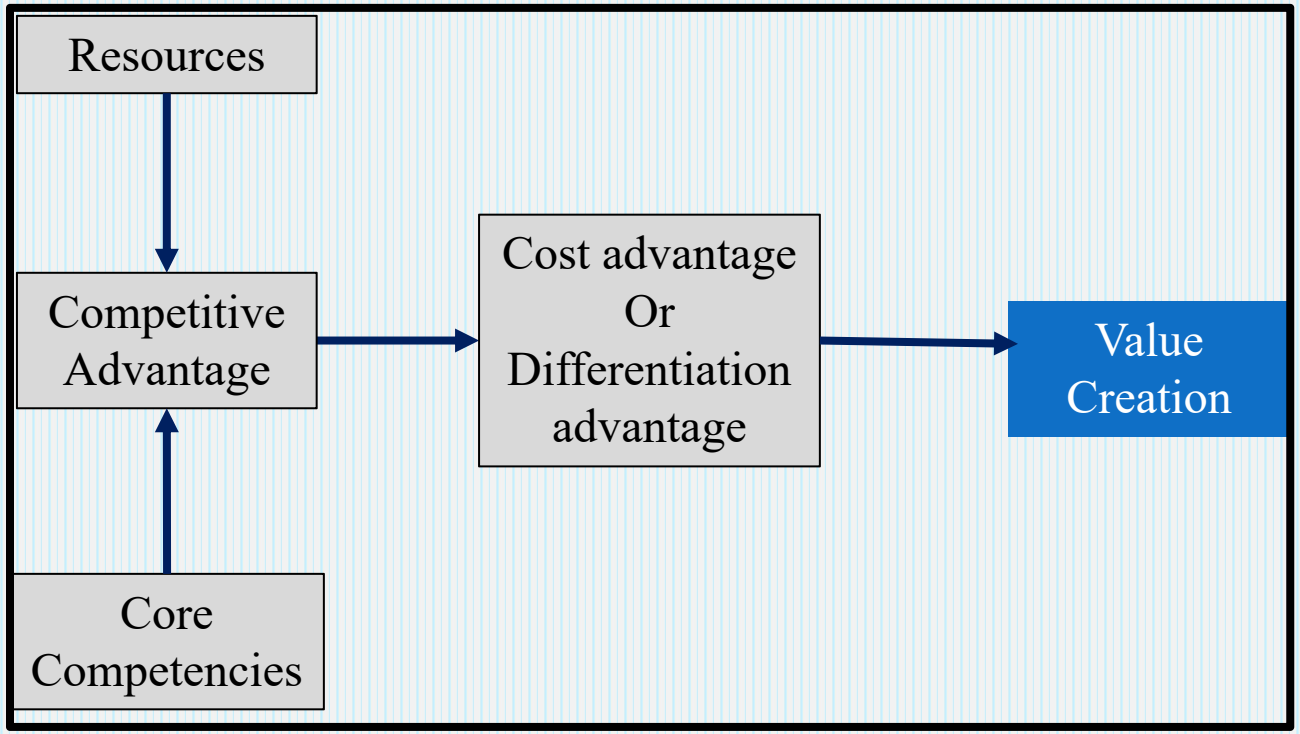
- ✓ If customers are brand conscious
- ✓ If customers value and demand for differentiation
- ✓ If customers are not price conscious
- ✓ If customers are not ready to compromise on quality
- ✓ Integrated marketing campaign

Focus strategy where an entrepreneur selects one or more narrow (niche) market segment to serve. He/she identifies the market segment's special need, wants, interest and approaches them with customized product or service.

Competitive Advantage

Competitive advantage is defined as unique advantage over the competitors an entrepreneur gained by offering consumers greater value either in terms of cost or differentiation of product or services.

- Superior good and/or service quality
- Superior cost/production efficiency
- Superior innovation and up-gradation
- Superior customers engagement



Global Competitive Advantage

1. Local market adaptation
2. Economies of scale
3. Common global culture
4. Tapping optimal location for activities & resources
5. Knowledge management and sharing
6. Technology transfer
7. Cost efficiency
8. Technological efficiency

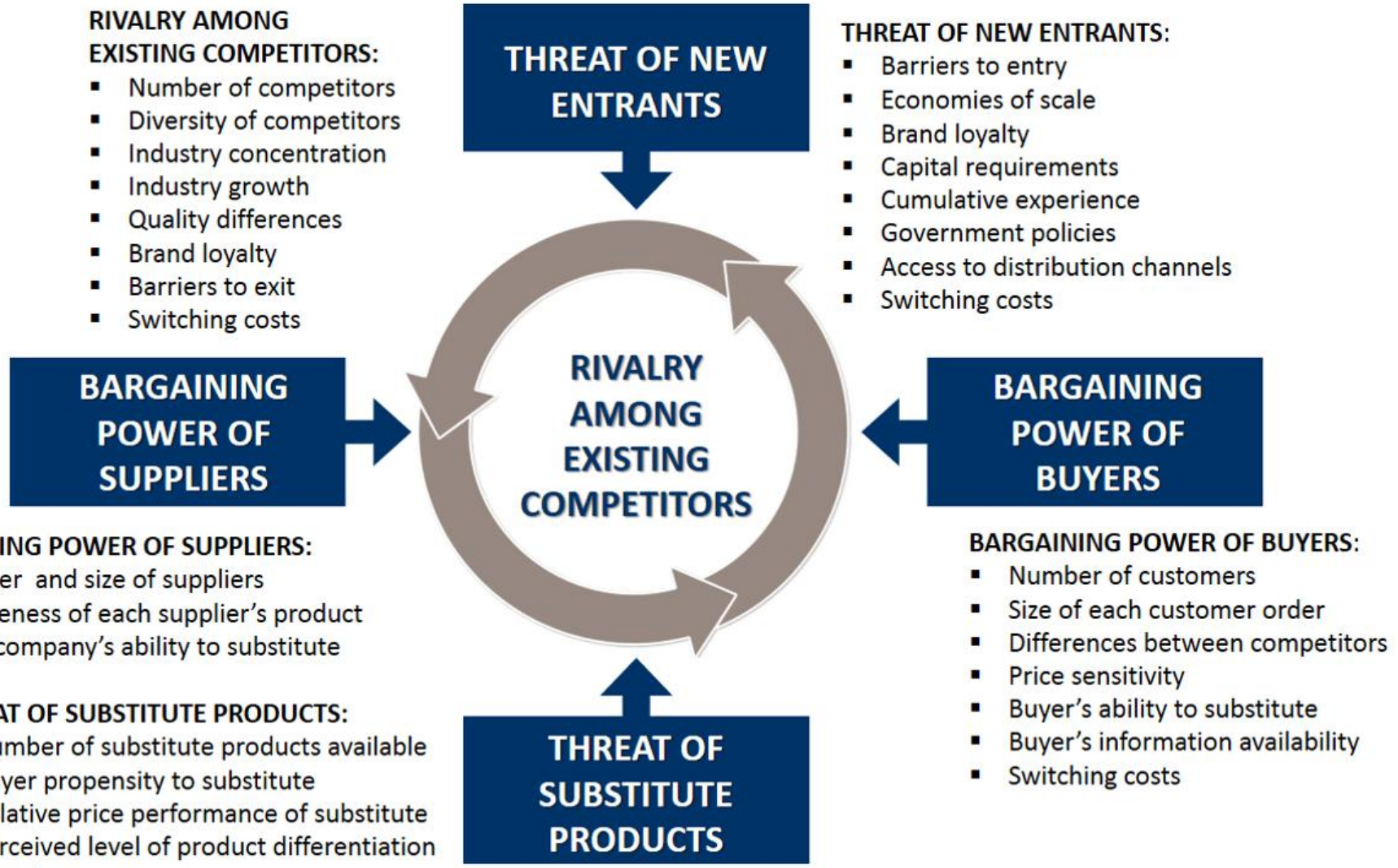
Competitive Positions

- Market Leader
- Market Challenger
- Market Follower
- Market Nicher

Characteristics of competitive advantage

- Valuable
- Rare
- Inimitable
- Non-substitutable
- Sustainable

Michael Porter's Five Forces Model



Criteria for Evaluating Strategies

Consistency: Astrategy should not present inconsistent goals and policies.

Consonance: refers to the need for strategists to examine sets of trends adaptive response to the external environment.

Feasibility: Physical, human, and financial resources of the enterprise

Advantage: maintenance of a competitive advantage

Strategy Evaluation Checklist

- ✓ Competitors reaction to strategies
- ✓ Competitors' strategies change
- ✓ Competitors' strengths and weaknesses change
- ✓ Competitors strategic changes and success
- ✓ Competitors satisfaction with their present market positions and profitability

Financial Review

- ✓ Return on investment (ROI)
- ✓ Return on equity (ROE)
- ✓ Profit margin
- ✓ Market share
- ✓ Debt to equity ration
- ✓ Earnings per share
- ✓ Sales growth
- ✓ Asset growth

Blue Ocean Strategy

How to create uncontested market space and make the competition irrelevant?

What is Red Ocean Strategy?

Align the whole system of a strategic firm's activities with its choice *of* differentiation or low cost.

- ✓ Compete in existing market space
- ✓ Beat the competition
- ✓ Exploit existing demand
- ✓ Make the value-cost trade-off

What is Blue Ocean Strategy?

Align the whole system of a firm's activities in pursuit of differentiation *and* low cost. **VALUE INNOVATION**

- ✓ Create uncontested market space
- ✓ Make the competition irrelevant
- ✓ Create and capture new demand
- ✓ Break the value-cost trade-off

Value Innovation: The cornerstone of Blue Ocean Strategy

Value-cost trade-off **(Conventional Believe)**

Differentiation and Low cost simultaneously **(Blue Ocean Strategy)**

The rising Imperative of Creating Blue Oceans

- Supply exceeds demand
- Globalization
- Increasing price wars
- Shrinking profit margins
- Brands are becoming more similar select based on price

BOS Logic: The Core Principles

1. **Reconstruct Market Boundaries**... *overcome believes.*
2. **Reach beyond existing Demand**... *go for uncontested space.*
3. **Get the strategic sequence right**... *value innovation first.*

Blue Ocean Strategy Logic Explained.....

BOS Logic 1: Reconstruct market boundaries

Boundaries of Competition	Head-to-Head Competition	Creating New Market Space
Industry	Focuses on rivals within its industry	Looks across alternative industries
Strategic Group	Focuses on competitive position within strategic group	Looks across strategic groups within its industry
Buyer Group	Focuses on better serving the buyer group	Redefines the buyer group of the industry
Scope of Product and Service Offerings	Focuses on maximizing the value of product and service offerings within the bounds of its industry	Looks across to complementary product and service offerings that go beyond the bounds of its industry
Functional-emotional Orientation of an Industry	Focuses on improving price-performance with the functional or emotional orientation of this industry	Rethinks the functional-emotional orientation of its industry
Time/Trends	Focuses on adapting to external trends as they occur	Participation in shaping external trends over time

Blue Ocean Strategy Logic Explained.....

BOS Logic 2: Reach Beyond Existing Demand

1. Focus on existing customers.
2. Drive for finer segmentation to accommodate buyer differences.

BOS Logic 2: Get the Strategic Sequence Right



Group Discussions and Interviews

Group Discussion 1: The interview with an entrepreneur 1: How to lead the competition or making competition irrelevant?

Group Discussion 2: E-commerce and the entrepreneur

Group Discussion 3: Myths of E-commerce and challenges

Group Discussion 4: Tech entrepreneurship and academia linkage

Group Discussion 5: The interview with an entrepreneur 2: What are the challenges of online businesses?

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Theme 09: Business Idea and Business Plan

Videos 105 - 114

Significance of a Business Plan

What is a Business Plan?

(How a Business Plan shoud practically be prepared? Or How to write a Business Plan?)

Business: "Any economic activity undertaken to earn profit by combining resources to deliver value to society in response of whose unmet need it is started"

Planning is all about:

1. Where am I? (Situation Analysis)
2. Where do I want to go? (Destination)
3. How will I get there? (Road Map/Way Out)

A Business Plan:

"A mega document which contains different but related documents covering different aspects of a new venture"

"A document which contains all the necessary information required to start, run ,grow and shut down the venture profitably".

Why Business Plan is prepared?

It guides an entrepreneur to put his dream to practice.

For whom Business Plan is prepared?

1- Internals (Entrepreneurs, Potential Employees)

2- Externals (Potential Customers, Potential Suppliers, Potential Investors)

Business Plan Particulars.....

What is the extent of Business Plan?

1-Entrepreneurs orientation, ability and preference

2-Complexity of business

3-Level of Competition

4-Level of uncertainty

5-Available time & money resources

What are Features of a Business Plan?

1-Comprehensive

2-Communication

3-Guidance

4-Formal Planning Process

Strategic Arrangement of a Business Plan

What is strategic arrangement of Business Plan? or What are its Contents?

A-Title Page (Name, Logo, Nature of business. Legal status/Type of ownership, Name of key entrepreneur, Investment, Confidentiality Statement, Location)

B-Table of Contents (It must match with internal arrangement of the document)

C-Executive summary (Short description of the whole business plan,prepared in the end attached in the beginning 2 to 3 pages)

D-General Business Description (Rational of the business, History, Industry analysis and evaluation)

E-Management Plan (Particulars of the entrepreneurial team, Heirarchy, Job details, HR policies)

F-Total Product & Service Plan (Product Mix in detail)

G-Marketing Plan (1-Analysis Phase: Customer, Competitor, Supply chain, sales forecasting 2-Action Phase: Implementation of marketing mix 3- Control Phase)

H-Operations & Production Plan (1-Input/Supply/Purchase Plan, 2-Production Plan, 3-Total Quality Management, 4-Outbound Logistics)

I-Financial Plan (1. How much finance is required? 2. Where to get finance from? 3. Utilization and recording of financial results?)

J-Appendix (Resume of Entrepreneurs, Legal documents, Pictures, Location map)

Entrepreneurship MGT602

Theme 10: NABC and Business Model Canvas: Presenting a business idea

Videos 115 - 124

NABC Approach is "An important client or market need addressed by a unique approach with compelling benefits when compared against the competition or alternatives" (Stanford Research Institute)

NABC------The Need

- ✓ What is the important customer and market need?
- ✓ A need should relate to an important and specific client or market opportunity, with market size and end customers clearly stated.
- ✓ The market should be large enough to merit the necessary investment and development time.
- ✓ Different methods should be used to provide the evidence of the need.
- ✓ Different research techniques such as surveys, observations may be employed to find out the evidence of the need.

NABC------The Approach

- ✓ What is the unique approach to addressing this need?
- ✓ Draw it, simulate it or make a mockup to help convey your vision.
- ✓ As the approach develops through iterations, it becomes a full proposal or business plan, which can include market positioning, cost, staffing, partnering, deliverables, a timetable and intellectual property (IP) protection.

NABC------The Benefit

- ✓ What are the specific benefits resulting from the approach?
- ✓ Each approach to a client's need results in unique client benefits, such as low cost, high performance or quick response.
- ✓ Success requires that the benefits be quantitative and substantially better - not just different.
- ✓ Why must we win?

NABC ------ The Competition

- ✓ To do this, we must clearly understand our competition and our client's alternatives.
- ✓ Our answer should be short and memorable.

Business Model Canvas

Wikipedia defines the business model canvas as “The Business Model Canvas is a strategic management template used for developing new business models and documenting existing ones. It offers a visual chart with elements describing a firm's or product's value proposition, infrastructure, customers, and finances assisting businesses to align their activities by illustrating potential trade-offs”

Source: https://en.wikipedia.org/wiki/Business_Model_Canvas

Business Model Canvas Important Questions?

1. How do you acquire customers?
2. After you have landed a new customer, how do you plan to relate to that customer and manage the relationship
3. How do you charge your customers? What is your revenue model?
4. How much do you charge your customers? Can you calculate your revenues for the next month, quarter and year?
5. What assets are available to you or under your control?
6. Who are your key partners?
7. What key activities do you need to engage in to deliver your value proposition?
8. What are your fixed costs?
9. What are your variable costs? Can you calculate your total cost for the next month, quarter and year?
10. Does your revenue forecast demonstrate increased profitability towards the end of the forecast period?

The Business Model Canvas

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Key Partners
- Who are our key partners?
- Who are our key suppliers?
- Which key resources are we acquiring from our partners?
- Which key activities do partners perform?

Key Activities
- What key activities do our value propositions require?
- Our distribution channels?
- Customer relationships?
- Revenue streams?

Key Resources
- What key resources do our value propositions require?
- Our distribution channels?
- Customer relationships?
- Revenue streams

Value Proposition
- What value do we deliver to the customer?
- Which one of our customers' problems are we helping to solve?
- What bundles of products and services are we offering to each segment?
- Which customer needs are we satisfying?
- What is the minimum viable product?

Customer Relationships
- How do we get, keep and grow customers?
- Which customer relationships will we established?
- How they will be integrated with the rest of our business model?
- How costly they will be?

Channels
- Through which channels do our customer segments will to be reached?

Customers
- How do we get, keep and grow customers?
- Which customer relationships will we established?
- How they will be integrated with the rest of our business model?
- How costly they will be?

Cost Structure
- What are the most important costs inherent to our business model?
- Which key resources are most expensive?
- Which key activities are most expensive?

Revenue Streams
- For what value are our customers really willing to pay?
- For what do they currently pay?
- What is the revenue model?
- What are the pricing tactics?

Group Discussions and Interviews

Group Discussion 1: Discussion Group : angle investor and venture capitalist (Part 1)

Group Discussion 2: Discussion Group : the investors' perspective on loan applications (Part 2)

Entrepreneurship MGT602

Theme 11: The marketing and legal aspects for an entrepreneurial venture

Videos 125 - 145

Marketing aspects for entrepreneurial venture

Marketing: The process by which companies create value for customers and build strong customer relationships in order to capture value from customers in return.

Needs: States of felt deprivation.

Wants: The form human needs take as they are shaped by culture and individual personality.

Demands: Human wants that are backed by buying power.

Market offerings: Some combination of products, services, information, experiences offered to a market to satisfy a need/want.

Ps of Marketing: Product, Price, Place, Promotion, Process, People, Physical Evidence.

Market: The set of all actual and potential buyers of a product or service.

Different Market Types: **Business markets**, **Customer markets**, **Online markets**

Marketing Strategy

1. Identify the customer need
2. Choose your value proposition
3. Design a consistent brand and message
4. Select your target audience
5. Select the marketing/social channel for your startup
6. Build you referral network
7. Assemble smart marketing team
8. Become your product's loyal user
9. Be vigilant to customer's feedback
10. Relationship marketing

Psychographic Segmentation

Dividing a market into different segments based on social class, lifestyle, or personality characteristics.

Behavioral Segmentation

Dividing market into segments based on their knowledge, attitudes, uses, or responses to a product, service or experience

Market Targeting (targeting)

The process of evaluating each market segment's attractiveness and selecting one or more segments to enter.

All Content Source: Kotler and Armstrong, Principles of marketing 14e

Customer Relationship Management (CRM)

Customer Relationship Management: The overall process of building and maintaining profitable customer relationships by delivering superior customer value and satisfaction.

Understand Customer-perceived value: The customer's evaluation of the difference between all the benefits and all the costs of a marketing offer relative to those of competing offers.

Customer Relationship Building Blocks

- ☐ Deliver Customer Value
- ☐ Delight your customer
- ☐ Exceeding his or her expectations through (Customer experience, Customization and personalize communication, and Feedback mechanism, Relationship marketing, Build/join communities)

Customer Classification		
Base	**Classification**	**Strategy**
Potential profitability and projected loyalty	**Strangers** • Low potential profitability and projected loyalty, • Little fit between the company's offerings and their needs.	Don't invest anything in them
	Butterflies • Potentially profitable but not loyal. • Good fit between the company's offerings and their needs	Don't invest anything in them
	True friends • Profitable and loyal • Strong fit between their needs and the company's offerings	Continuous relationship investments to nurture, retain, and grow them
	Barnacles • Highly loyal but not very profitable • Limited fit between their needs and the company's offerings	Fire problematic customers

Buzz marketing

Buzz Marketing is creating a Word-of-mouth or talk around product, service or experience that consumers view as authentic.

Buzz Marketing is involves:

- ✓ Using entertainment or news that gets people's instant attention about the brand.
- ✓ Generally, a marketing company pays celebrities, opinion leaders, and influencers to use a product visibly and convincingly at public places.

Buzz Marketing is also known as:

- ✓ Viral Marketing
- ✓ Undercover marketing
- ✓ Diffusion marketing
- ✓ Product seeding

When to use Buzz Marketing ?

- ✓ Market entry
- ✓ Product, service or experience launch
- ✓ Opening new outlet
- ✓ Business expansion
- ✓ Change in market segment
- ✓ Promotional campaign

Guerrilla Marketing

Guerrilla Marketing is a Strategy that focuses on low-cost unconventional marketing tactics that assures maximum customer engagement and yields maximum results.

Different types of customer experiences in Guerrilla Marketing

- ✓ Ambush
- ✓ Sabotage
- ✓ Raid
- ✓ Surprise

Types of Guerrilla Marketing

- ✓ Outdoor Guerrilla Marketing
- ✓ Indoor Guerilla Marketing
- ✓ Event Ambush Guerilla Marketing
- ✓ Experiential Guerilla Marketing

Choosing the Right Customer to Serve

Market Segmentation: Dividing a market into smaller segments with distinct needs, characteristics, or behavior that might require separate marketing strategies or mixes.

Geographic Segmentation: Dividing a market into different geographical units, such as nations, states, regions, counties, cities, or even neighborhoods.

Demographic Segmentation: Dividing the market into segments based on variables such as age, gender, family size, family life cycle, income, occupation, education, religion, race, generation, and nationality.

Psychographic Segmentation: Dividing a market into different segments based on social class, lifestyle, or personality characteristics.

Behavioral Segmentation: Dividing market into segments based on their knowledge, attitudes, uses, or responses to a product, service or experience

Segmentation Attractiveness Factors

- ✓ Number of customers
- ✓ Less competition
- ✓ Demand in long run

Choosing the right customer to serve

2 Important Questions

1. To whom you are going to sell your product or service?
2. To whom you are going to serve ?

Evaluating the market segmentation

1- Firm's objective and resources

- Long run objectives
- Production capacity
- Physical and nonphysical resources

2- Segment's attractiveness

- Size and growth
- Profitability
- Scale of economies
- Competition

How to target a market ?

Marketing Targeting Strategies

- ✓ Single segment concentration
- ✓ Multisegment coverage strategy
- ✓ Product specialization and multisegment coverage
- ✓ Full market coverage strategy
- ✓ Multiple segmentation invasion plan

Market Research

Marketing research is systematic design, collection, analysis, and reporting of data and findings relevant to specific marketing situation facing by company. Source: *Marketing Management by Philip Kotler*

Why Marketing Research?

1. To identify problem
2. To evaluate segment attractiveness
3. To evaluate a business opportunity
4. Market survey for customers' preference
5. Product preference test
6. Sales forecasting
7. Integrated marketing communication strategies evaluation
8. Evaluation competition
9. Product and/or market expansion
10. Price change

Marketing Research Process

Step1: Define the problem/opportunity

Step2: Define the objectives of marketing research

Step3: Develop a complete research plan

Step4: Identify data sources

Step5: Selecting of sampling method and data collection

Step6: Analyze the collected data

Step7: Present the findings

Step8: Make an informed decision

Situations where information is required

- ✓ Business opportunity
- ✓ Market growth
- ✓ Competition

Marketing Intelligence and Market Intelligence System

- ✓ Primarily external data collected and analyzed by a business about markets that it anticipates participating in with the intention of using it in making decisions.
- ✓ Marketing intelligence can be used to assess market entry opportunities and to formulate market development plans and penetration strategies.
- ✓ **Marktet Intelligence System** is a set of procedures and sources used by the management to obtain everyday information about development in the marketing environment.

Design your market offering (Products/Services)

Product: anything that can be offered to market for attention, acquisition, use or consumption that might satisfy a need or want.

Service: anything or benefit that one party can offer to another that is essentially intangible and does not result in any ownership of anything.

Level of product and services

1. **Core benefit** (Basic Utility of the offerings)
2. **Actual product** (Brand name, Quality level, Packaging, Design, Features)
3. **Augmented product** (Delivery and credit, Installation, Warranty, After sale service)

Product and Service Classification

- ✓ **Consumer Products** (offered to final consumer including convenience, shopping and specialty product)
- ✓ **Industrial Product** (offered to firms for further processing or for use in conducting the business)

Unique Selling Proposition (USP)

The factors or consideration presented by a seller as the reason that one product or service is different from better than that of the competitors.
Source: https://www.entrepreneur.com/encyclopedia/unique-selling-proposition-usp

Design and Quality

Product Quality is defined as zero defect product or service.

The American Society for Quality defines quality as characteristics of product or service that bear on it the ability to satisfy stated or implied customer needs.

Product Quality is critical as:

- ✓ The leading positioning tool
- ✓ Directly related to performance of product or service
- ✓ Directly linked with value for customer

Dimension of product quality

1. Level of quality (performance quality)
2. Consistency and commitment with quality (conformance quality)

Design of Product and Service

- ✓ Directly linked with customer value and satisfaction
- ✓ Ensure long term relationship with customers
- ✓ Directly linked with product-use-experience

Product or service specifications

Product Specification: Written statement of an item's required characteristics documented in a manner that facilitate its procurement or production and acceptance.

Business Buying Situations

- ✓ A business buying situation in which the buyer routinely reorders something without any modifications called ***Straight rebuy.***
- ✓ Business buying situation in which the buyer wants to modify product specifications, prices, terms, or suppliers called ***Modified rebuy.***
- ✓ A business buying situation in which the buyer purchases a product or service for the first time called ***New task.***
- ✓ Buying a packaged solution to a problem from a single seller, thus avoiding all the separate decisions involved in a complex buying situation called ***Systems selling (or solutions selling).***

Product Specification helps:

- ✓ Redesigning an offering
- ✓ Standardization
- ✓ Less costly methods of production

Disucssion

Discussion/Interview: Video 135 Explicit and implicit promises (interview)

Packaging and labeling

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What is Packaging ? (Packaging is known as the product's face)

The wrapping material around a consumer item that serves to contain, identify, describe, protect, display, promote and otherwise make the product marketable and keep it clean.

Packaging involves designing and producing the container or wrapper for a product.

The product might have multiple layers of packaging.

- ✓ Primary package
- ✓ Secondary package
- ✓ Shipping or third package

Packaging is important because:

- ✓ Consumer influence
- ✓ Ensure product quality
- ✓ Brand recognition
- ✓ Brand reinforcement

Packaging Concerns

- ✓ Product container
- ✓ Packaging design and functionality
- ✓ Packaging color and quality
- ✓ Packaging size
- ✓ Packaging durability
- ✓ Packaging cost

What is labeling? (Labeling is a part of the packaging)

Display of information about a product on its container, packaging, or the product itself. For several types of consumer and industrial products, the type and extent of information that must be imparted by a label is governed by the relevant safety and shipping laws.

Placement and Display of Products/Services

Placement of product/service: What new distribution options are there for customers to experience our product, e.g. online, in-store, mobile etc.

Placement includes Distribution Channels, Displays, Supply Chain Management, Geographical locations

Important Product Placement Questions

- ✓ From where to buy the raw material?
- ✓ In which market to sell?
- ✓ How to reach the final customer ?
- ✓ How to sell ?
- ✓ What distribution channels are better, faster and cheaper ?
- ✓ How to maintain the inventory ?

Important Display Questions

- ✓ How to get dominating shelf space?
- ✓ Where to display the product e.g. own display center or shopping mart, departmental store or convenience shop?
- ✓ What are shelf plan to maintain the inventory?
- ✓ What is the shelf life of the product ?

Theme 11 Video 137, 138 Where to sell and what? The Display matters

The virtual markets

Price is the amount of money which is required and given in payment for buying something including product, service or experience.

What price you will charge for your product or service ?

Consumer Psychology and Pricing

- ✓ Consumers quickly process the price information.
- ✓ Previous purchases (Last paid price)
- ✓ Market survey
- ✓ Formal communication
- ✓ Informal communication
- ✓ Online sources
- ✓ Competitors' price
- ✓ Expected future price
- ✓ Price sensitive customers
- ✓ Price is an indicator of quality

New product pricing

Virtual University

Price Objectives

- ✓ Survival
- ✓ Maximum current profit
- ✓ Maximum market share (market penetration)
- ✓ New product pricing
- ✓ Product quality leadership
- ✓ Partial cost recovery

Price strategies usually depends on

- ✓ Product, service or experience
- ✓ Target market
- ✓ Competitors' price of similar and alternate products

Pricing Strategies

- ✓ New Product Pricing Strategies (Market Skimming, Market Panetration)
- ✓ Psychological Pricing (Reference pricing, Bundle pricing, Multiple unit pricing, Every day low pricing)
- ✓ Product-Line Pricing Strategies
  - ➢ ***Captive*** –products that must be used along with the main product. Main product in a product line priced at low while related product and/or line of product price higher
  - ➢ ***Premium*** – pricing different model at different prices depending on their quality and features

Price and Price-Adjustment Strategies

Revision of price related concerns
- ✓ Previous purchases
- ✓ Friends and family
- ✓ Online sources
- ✓ Formal and informal communication

Pricing strategies and its objective
- ✓ Survival
- ✓ Maximum current profit
- ✓ Unsold inventory
- ✓ Market penetration

Price strategies usually depends on
- ✓ The type of product.
- ✓ Consumer products
- ✓ Industrial products

Setting the Price
- ✓ Analyzing the competitors' cost, price and offers
- ✓ Selecting the price method
- ✓ Selecting the final price

Price-Adjustment Strategies
- ✓ Discount and allowance pricing
- ✓ Segmented pricing
- ✓ Promotional pricing
- ✓ International pricing
- ✓ Loss leaders

Predatory Pricing: Deliberate price cutting

Price Change and Price War

Reasons of Prices Change

1. Cost inflation
2. Over/less demand
3. Price competition
4. Nature of product and product life
5. Promotional campaign

Responding to Price Change

1. Maintain the price
2. Maintain the price with some value addition
3. Reduce the price
4. Increase the price and improve the quality
5. Launch a low price line

Reaction to Price Change

1. Reaction by customers
2. Reaction by competitors

Price War

A price war is a competitive exchange among rival companies who lower the price points on their products, in a strategic attempt to undercut one another and capture greater market share. A price war may be used to increase revenue in the short term, or it may be employed as a longer-term strategy.

Market situation in which (usually two) powerful competitors try to suppress each other's market share by progressively reducing prices until one of them retreats, at least temporarily.

Important features

- ✓ Competition among competitors
- ✓ Lower the price points on their products/services
- ✓ To capture greater market share
- ✓ Used to increase revenue in the short term
- ✓ Employed as a longer-term strategy.

Price war and possible strategies

- ✓ Reliance on strategic capabilities
- ✓ Compete on Quality
- ✓ Product differentiation strategy
- ✓ Form strategic alliance

Can you jump into price War? Is your business financially strong to sustain price war? How you will respond to price war?

Advertising Mix & Integrated Marketing Communication Strategies

Marketing Communications Mix: The specific blend of promotion tools that the company uses to persuasively communicate customer value and build customer relationships.

- ✓ **Advertising:** Any paid form of nonpersonal presentation and promotion of ideas, goods, or services by an identified sponsor
- ✓ **Sales Promotion:** Short-term incentives to encourage the purchase or sale of a product or service
- ✓ **Personal Selling:** Personal presentation by the firm's sales force for the purpose of making sales and building customer relationships.
- ✓ **Public Relations:** Building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events.
- ✓ **Direct marketing:** Direct connections with carefully targeted individual consumers to both obtain an immediate response and cultivate lasting customer relationships

Why to advertise ?

1. product/service launch
2. To win the market competition
3. Persuasion

Integrated marketing communications (IMC)

Sensibly integrating and coordinating the company's multiple communications channels to communicate a clear, reliable, and convincing and persuasive message about the product, service and/or organization.

- ✓ Social media
- ✓ SMS marketing
- ✓ Blogs and influencers
- ✓ News channels
- ✓ Vlogs
- ✓ Website and website banners
- ✓ Search engine optimization
- ✓ Local cable advertising

Brand Development and Brand Identity

What is Brand? A brand is an identifying symbol, mark, logo, name, word and/or sentence that companies use to distinguish their product from others.

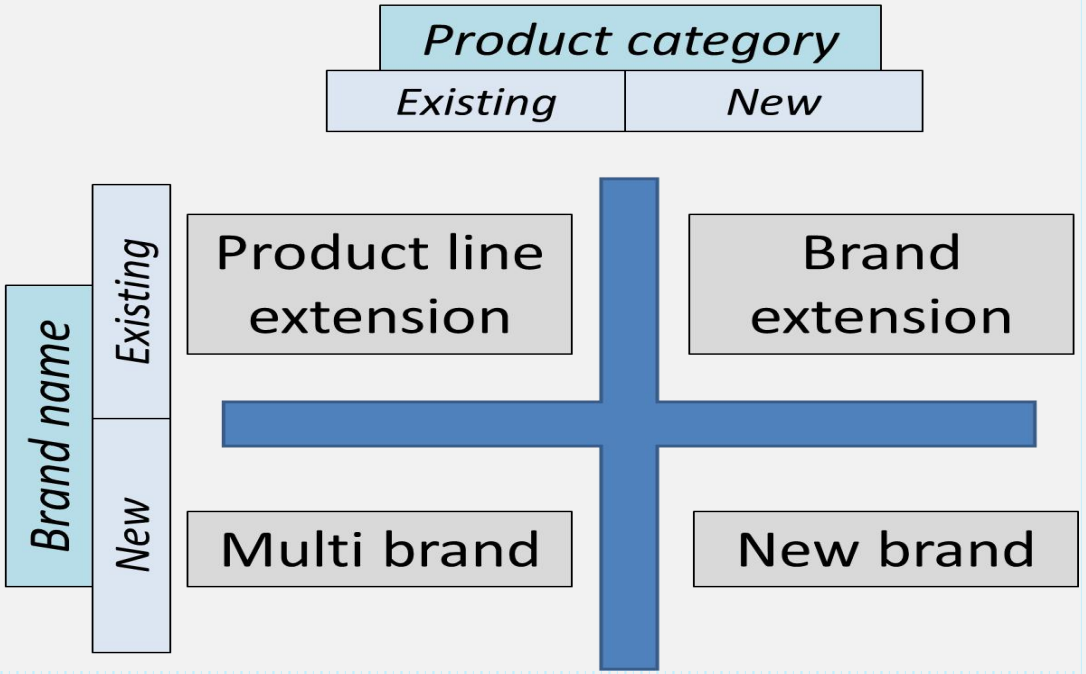
Trademark: Legal protection given to a brand name is called a trademark.

What is Brand Identity? Brand identity is the visible elements of a brand, such as color, design, and logo, that identify and distinguish the brand in consumers' minds.

Why branding is important?

1. Business Identity
2. Recognition and customer relationship
3. Implicit quality promise
4. Customer loyalty
5. Generates New Customers
6. Customer and market place trust
7. Edge on competitors

Brand Development Strategies



Disucssion/Interview

Discussion/Interview: Video 145 Brand building and selling tactics : Issues and challenges

Entrepreneurship MGT602

Theme 12: The management aspects for entrepreneurial venture

Videos 146 - 151

Management aspects of ventures, Organizational Structures

Management aspects of ventures

- ✓ Decision-Making
- ✓ Leadership behavior
- ✓ Organizational structure and processes
- ✓ Clusters & networks
- ✓ Creating resilience
- ✓ Technological systems
- ✓ Departmentalization
- ✓ HR policies

Organizational Structure is a visual presentation of a company's structure shows what employees do, decision making style, span of control, and chain of command.

Organizational structures are classified in terms of functions, products, markets, and geographical location.

How it is different from a large setup?

1. Blur organizational structures
2. Centralized decision making
3. Multiple roles of managers
4. Need for growing firms
5. Lack of R&D and human resource development
6. Flexibility of organizational structure

An organizational Structure is a visual presentation of a company's structure, shows what employees do, decision making style, span of control, and chain of command.

1. Functional Organizational Structure: It departmentalizes an organization based on common job functions e.g. marketing, finance, human resource, management, operational and IT

2. Product-Based Structure: It divides organizational structure based on products. It is ideal for organizations with multiple specialized products

3. Market-Based Structure: Divisions of an organizational structure on the basis on industries, markets, or customers

4. Geographical Structure: Divisions of an organizational structure on the basis of geography

5. Flat Structure: Employees are only a few steps away from senior leadership and decision making is centralized.

6. Tall Structure: Multiple lyres of reporting and decentralized decision making.

Nonprofit organizations andCorporations (public or private)

Sole Proprietorship: A business owned by one person, who bears unlimited liability for the enterprise.

- ✓ Entrepreneur owns and manage the business
- ✓ Single ownership of venture
- ✓ Easy to form
- ✓ Proprietor and Proprietorship are the same entity
- ✓ Small scale
- ✓ Tax on Proprietor's income
- ✓ Unlimited lability

Partnership: A legal entity formed by two or more co-owners to carry on a business for profit.

Partnership at will: Life of the partnership depends upon the will of the partners.

Particular Partnership: Partnership formed for a particular purpose. It is dissolved automatically at the achievement of the purpose.

Limited Partnership: Limited partnership is that in which liabilities of some partners are limited up to the amount of their capitals. In this partnership, there is at least one partner who has unlimited liability.

Acts/Laws and Gvoerning law for partnership: Partnership Act, 1932, Limited Liability Partnership Act, 2017

Separate legal personality: A limited liability partnership shall be a body corporate by registration under this Act and shall be a legal entity separate from its partners.

Perpetual succession: A limited liability partnership shall have perpetual succession, Any change in the partners of a limited liability partnership shall not affect the existence, rights or liabilities of the Limited Liability Partnership.

Unlimited liability in case of fraud: In the event of an act carried out by, a limited liability partnership or any of its partners, with intent to defraud creditors of the limited liability partnership or any other person or for any fraudulent purpose, the liability of the limited liability partnership and partners who acted with intent to defraud creditors or for any fraudulent purpose shall be unlimited for all or any of the debts or other labilities of the limited liability partnership.

Nonprofit organizations and Corporations (public or private)

What is a Nonprofit Organization? A nonprofit organization is a business that has been granted tax-exempt status because it furthers a social cause and provides a public benefit.

- ✓ Donations made to a nonprofit organization are typically tax-deductible to individuals and businesses that make them.
- ✓ The nonprofit itself pays no tax on the received donations or on any other money earned through fundraising activities.

Company Registration in Pakistan

1. **Single Member Company (SMC)**
   - ❖ Comprising of 1 owner (Director / Member
   - ❖ Holds a separate legal entity
   - ❖ Introduced in Companies Act 2017 to facilitate the sole proprietors to form a separate legal entity
2. **Limited Liability Partnerships (LLP)**
   - ❖ Can be registered by two or more persons
   - ❖ Members enter into an agreement to carry a lawful business after being registered with the Security Exchange Commission Pakistan (SECP) as an LLP.
   - ❖ This form of company registration was introduced in May 2018 by SECP to give the business a legal status which is separated from their partners.
   - ❖ It allows the partners to organize their internal management on the basis of mutual agreement while enjoying the benefits of limited liability company.
3. **Private Limited Company (LLC)**
   - ❖ A corporation formed by two or more people
   - ❖ Registered with Security Exchange Commission Pakistan (SECP)
   - ❖ Not allowed to offer their shares to the public.
   - ❖ Liability of the shareholders are limited to their invested amounts only.
4. **Public Company**
   - ❖ Offers their shares to the public.
   - ❖ Shares are traded in the stock exchange
   - ❖ Buyers of the shares have the limited liability
   - ❖ Accounts of the public limited companies are audited and are made available to the public for the information

Group Discussions/Interview

Video 150. Discussion Group with a lawyer: How to register a firm in Pakistan?

Video 151. Discussion Group: with a lawyer: How to approach ombudsman?

Entrepreneurship MGT602

Theme 13: The Financial aspects of an entrepreneurial venture

Videos 152-165

Introduction to Financial Management

- **What is financial management ?** (Financial management deals with **managing a firm's finances** and r**aising money**.)

- **What is the ultimate goal of financial management?** (Achieve the highest rate of return)

- **Leading concerns in Financial Management?**

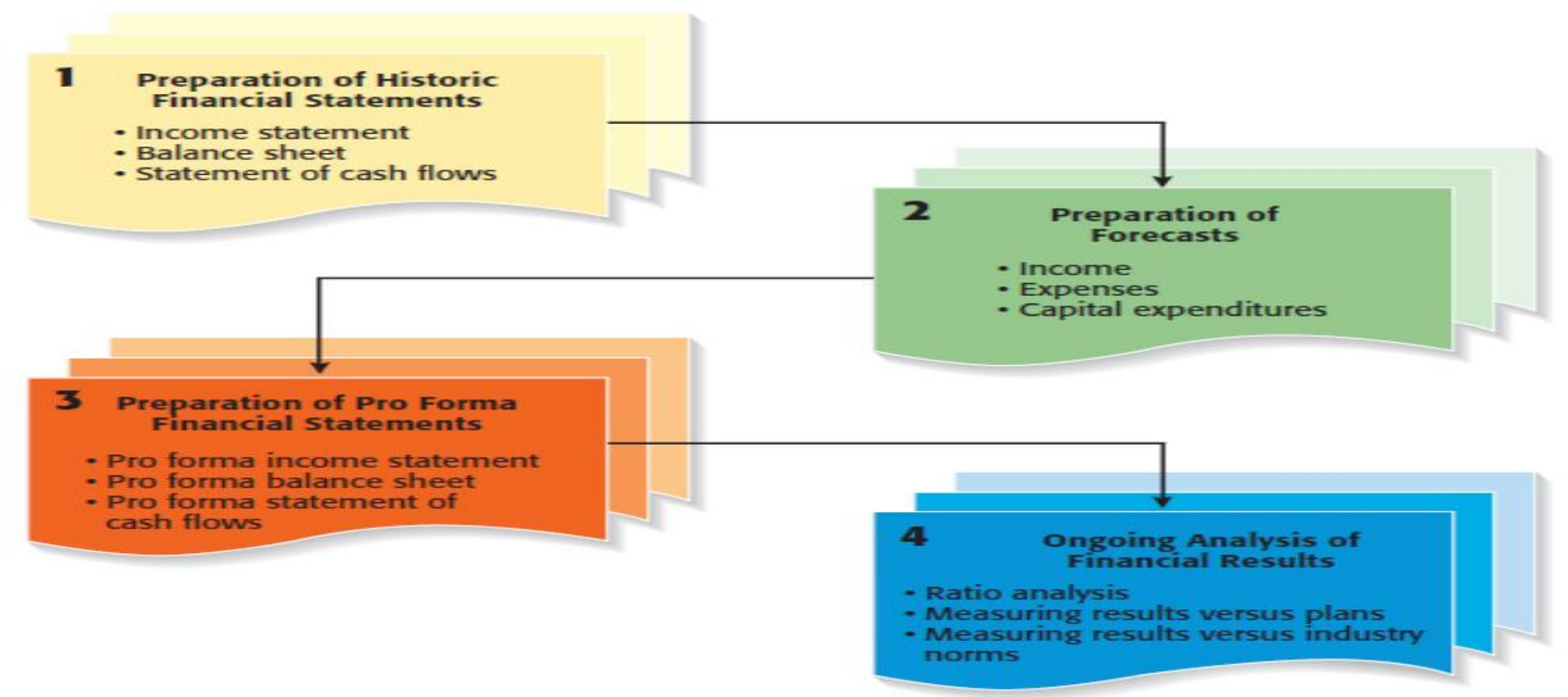
  - How are we doing?
  - Are we making or losing money?
  - How much cash do we have on hand?
  - Do we have enough cash to meet our short-term obligations?
  - How efficiently are we utilizing our assets?
  - How does our growth and net profits compare to those of our industry peers?
  - Where will the funds we need for capital improvements come from?

Financial Objectives of the Firm

- What are the main objective of financial management of a business? (**Profitability**, **Liquidity**, **Efficiency**, **Stability**)
- How do you define proftability? (Profitability is a Company's **ability to make profit**)
- How do you define liquidity? (A company's **ability to meet its short-term obligations**)
- How do you define efficiency? (The **ability to utilize firms' assets productively**)
- How do you define stability? (The overall **health of the financial structure of the firm**, particularly as it relates to its **debt-to-equity ratio**)

Financial Management Process

- What is financial management process?



Need for Financing

- Need for Financing or Funding? - What are the deciding factors?
  - Cash Flow Challenges
  - Capital Investments
  - Lengthy Product Development Cycles
- Alternatives for raising money- What are the options for new ventures?
  - Personal Funds
  - Equity Capital, Debt Financing
  - Angel Investments, Seed Funding
- Sources of Personal Financing - What are the options for new ventures?
  - Personal Funds (**Caution:** Avoid incorrect estimations)
  - Friends and Family (**Caution:** Correct risk estimation, Proper documentation, Money Management)
  - Bootstrapping
    - ✓ Buy used instead of new equipment, Coordinate purchases with other businesses, Sharing office space or employees with other business,
    - ✓ Leasing equipment instead of buying
    - ✓ Obtaining payments in advance from customers
    - ✓ Minimizing personal expenses, Avoiding unnecessary expenses
    - ✓ Buying items cheaply but prudently
    - ✓ Hiring interns

Debt, Equity, and Creative Sources of Financing

❑ Entrepreneurship originated from the science of economics

Step 1: Determine precisely how much money is needed

Step 2: Determine the type of financing or funding that is the most appropriate

Step 3: Develop a strategy for engaging potential investors

❑ Sources of Equity Financing

- Venture Capital
- Business Angels
- Initial Public Offering (IPO)

❑ Sources of Debt Financing

- Commercial Banks
- Loans from Friends and Family
- Peer-to-Peer Lending Networks
- Organizations that lend money specific groups

❑ Creative Sources of Financing

- Leasing
- Funds and Grants (For Innovation by Govt and private sector)
- Grants for resolving social issues
- Strategic Partnerships

Characteristics of the Venture	Appropriate Source of Financing or Funding
The business has high risk with an uncertain return:	Personal funds, friends, family, and other forms of bootstrapping
Weak cash flow	
High leverage	
Low-to-moderate growth	
Unproven management	
The business has low risk with a more predictable return:	Debt financing
Strong cash flow	
Low leverage	
Audited financials	
Good management	
Healthy balance sheet	
The business offers a high return:	Equity
Unique business idea	
High growth	
Niche market	
Proven management	

Financial Statements

- Historical Financial Statements
  - Reflect past performance
  - Prepared on a quarterly and annual basis.
  - Required by SEC

Financial Statement	Purpose	Concept/Components
Income Statement	Reflects the results of the operations of a firm over a specified period of time. It records all the revenues and expenses for the given period and shows whether the firm is making a profit or is experience a loss.	
Balance Sheet	Is a snapshot of a company's assets, liabilities, and owners' equity at a specific point in time.	**Basic Accounting Equation:** Assets = Liabilities + Stockholders Ewuity
Statement of Cash Flows	Summarizes the changes in a firm's cash position for a specified period of time and details why the changes occurred.	Operating, Investing, and Financing activities

Proforma Financial Statements

- Pro Forma Financial Statements
  - Projections for future periods based on forecasts
  - Typically completed for two to three years in the future.
  - Just a planning tool
  - Not Required by SEC
  - Used to look forward rather than track the past
  - Helps a firm re-think its strategies and make adjustments if necessary
  - necessary if a firm is seeking funding or financing

Proforma Financial Statement	Purpose
Pro Forma Income Statement	Shows the projected results of the operations of a firm over a specific period.
Pro Forma Balance Sheet	Shows a projected snapshot of a company's assets, liabilities, and owner's equity at a specific point in time.
Pro forma Statement of Cash Flows	Shows the projected flow of cash into and out of a company for a specific period.

Ratio Analysis

- Ratio Analysis: A tool used to determine the financial health or operational efficiency of a company.
- Functions of Ratio Analysis: (**Inter-company Comparison**, **Intra-company Comparison**, **Establishing Future Trends**)

		Historical		Projected	
Ratio	**Formula**	**2017**	**2018**	**2019**	**2020**
Profitability Ratios: *associate the amount of income earned with the resources to generate it*					
Return on Assets	ROA = Net Income / Average Total Assets*	12.4%	13.8%	16.7%	17.9%
Return on Equity	ROE = Net Income / Average Total Equity**	20.0%	22.2%	25.5%	26.0%
Net Profit Margin	NPM = Net Income / Net Sales	12.4%	14.8%	15.8%	17.1%
Liquidity Ratios: *measure the extent to which a company can quickly liquidate assets to cover short-term liabilities*					
Current Ratio	CR = Current Assets / Current Liabilities	2.95	2.90	1.98	2.18
Quick Ratio	QR = Quick Assets / Current Liabilities	2.58	2.42	1.51	1.70
Financial Stability Ratios: *measures the overall financial stability of the firm*					
Total Debt Ratio	Debt Ratio = Total Debt / Total Assets	34.7%	40.0%	29.5%	32.0%
Debt to Equity	D/E Ratio = Total Liabilities / Total Equity	53.3%	66.8%	41.9%	47.0%

Break Even Analysis

- Breakeven is the point at which total revenue equals total costs. There is no profit or loss on this point.
- Breakeven analysis helps businesses
  - Make decisions about prices, costs and the level of sales.
  - Predict future profits/losses
  - Predict results
- Role of Costs to calculate Breakeven: **Total Cost = Fixed Cost + Variable Cost**
  - **Variable costs** are costs that change with changes in production levels or sales. Costs of materials used in the production of the goods.
  - **Fixed costs** remain roughly the same regardless of sales / output levels. Example: Rent, Insurance and Wages

Formula to calculate Breakeven Point

(Break-even Point = Fixed Cost/Contribution Margin)

- Example (A flower selling proposition)

Fixed Costs are Rent: Rs. 20,000, Wages: Rs. 10,000, Total Fixed Costs (per unit): 20,000 + 10,000 = Rs. 30,000
Variable Costs (per unit) are Flowers: Rs. 100 per bunch
Selling Price (per unit) is Flowers: Rs. 200 per bunch
Unit Contribution: Selling Price (200) – Variable Cost (100)= 100 For every bunch of flowers sold Rs. 100 goes towards covering fixed costs.

Break-even Point: 30,000/100 = 300 units

By selling 300 units the flower shop will be at breakeven point that means total cost is equal to total revenue and there is no loss and profit at this point of time. Futher sale of units will bring profit to the business.

Entrepreneurship MGT602

Theme 14: Growth of entrepreneurial firms and globalization

Videos 166-177

Business Growth Model - 5 Stages

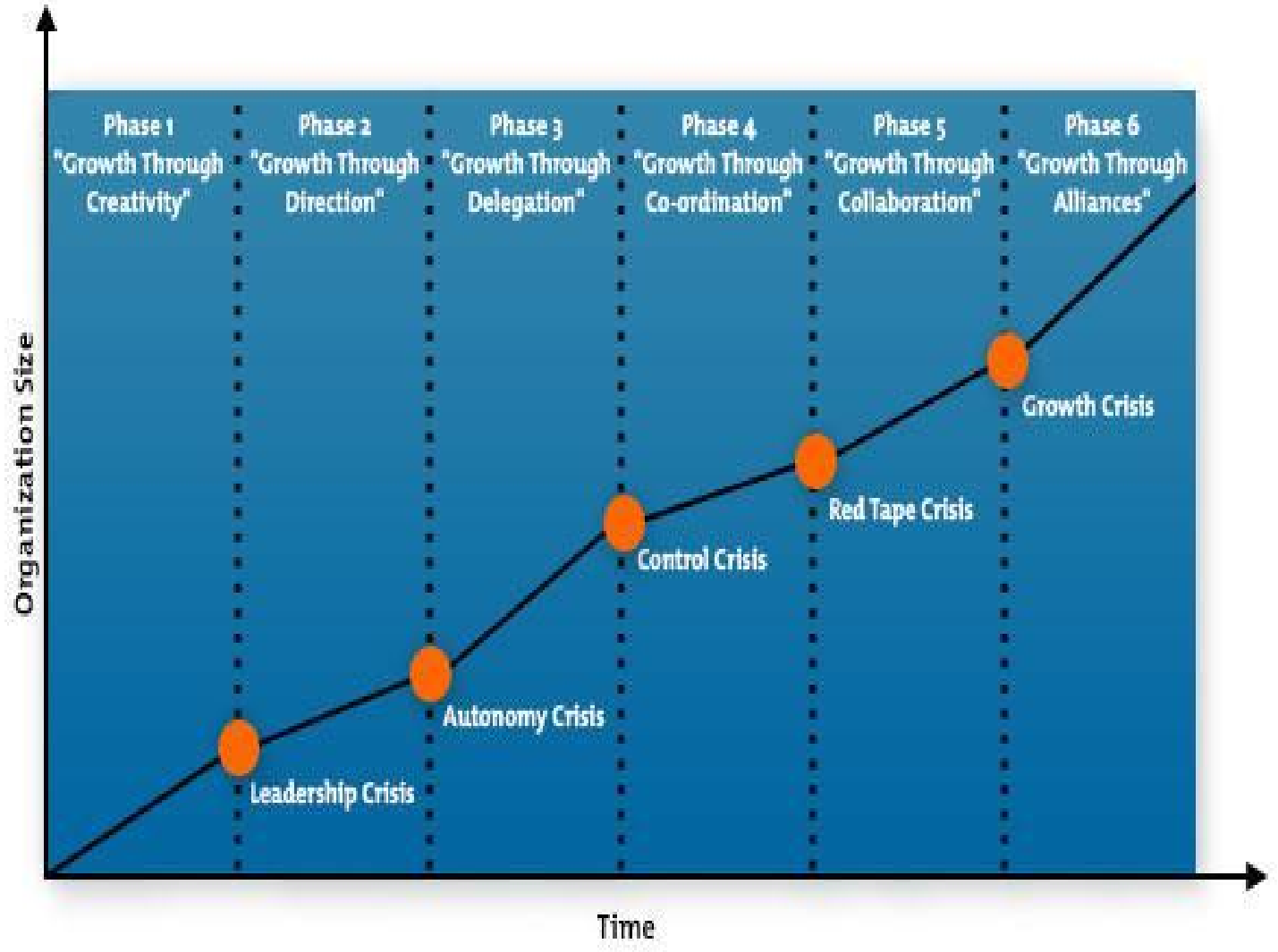
- **Phase 1: Existence**
  - Gaining customers and capturing market
  - Delivering the product and services
  - Entrepreneurs directly supervise team
- **Phase 2: Survival**
  - Business is workable
  - Sufficient customers base
  - Revenue generation and break even achieved
- **Phase 3: Success**
  - Size grows and complexity increases
  - Profit generation and brand development
  - Manage to face competition
- **Phase 4: Take-off**
  - How to grow ?
  - How to handle finance for that growth?
  - Product and service improvement
- **Phase 5: Resource Maturity**
  - Strengthen and control the financial gain
  - Maintain the benefits of small size including flexibility
  - Issues of budget, strategic planning, standard cost system, functional teams
  - Compromise on entrepreneurial spirit



Greiner's Growth Model

Each growth phase is followed by a crisis.

- **Phase 1: Growth Through Creativity**
  - Leadership Crisis
- **Phase 2: Growth Through Direction.**
  - Autonomy Crisis
- **Phase 3: Growth Through Delegation**
  - Control Crisis
- **Phase 4: Growth Through Coordination**
  - Red Tap Crisis
- **Phase 5: Growth Through Collaboration**
  - Growth Crisis
- **Phase 6: Growth Through alliance**

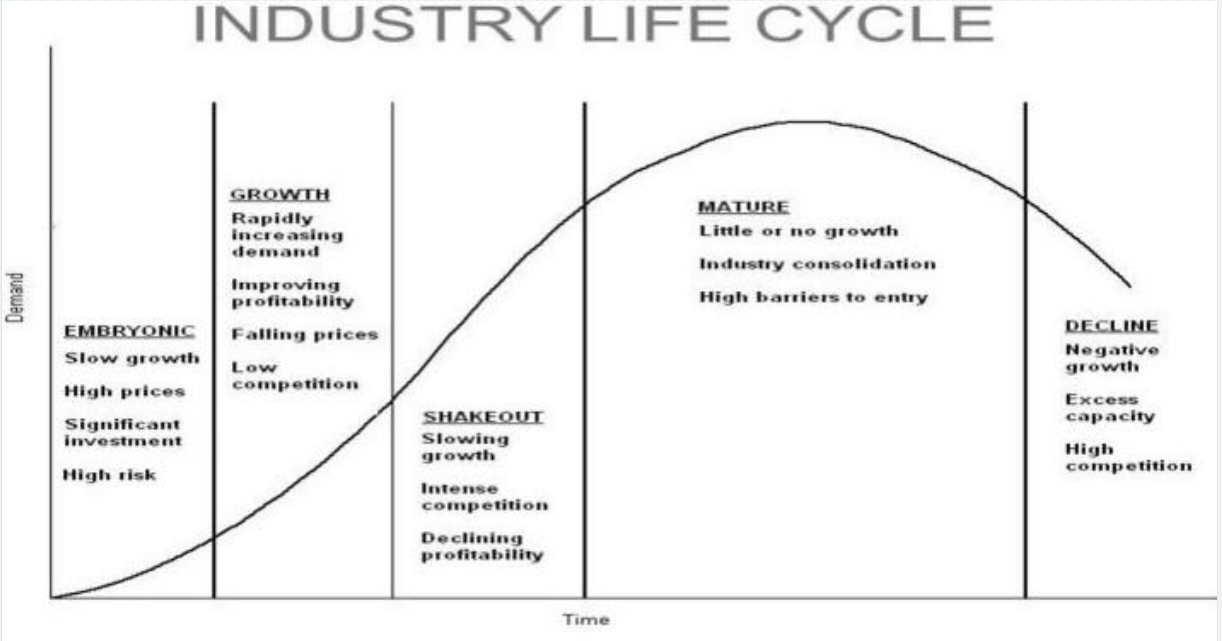


Preparing for Growth

What Is the Industry Life Cycle?

The industry life cycle refers to the evolution of an industry through fives stages based on the business characteristics commonly displayed in each phase.

Source: *https://www.investopedia.com/terms/i/industrylifecycle.asp*

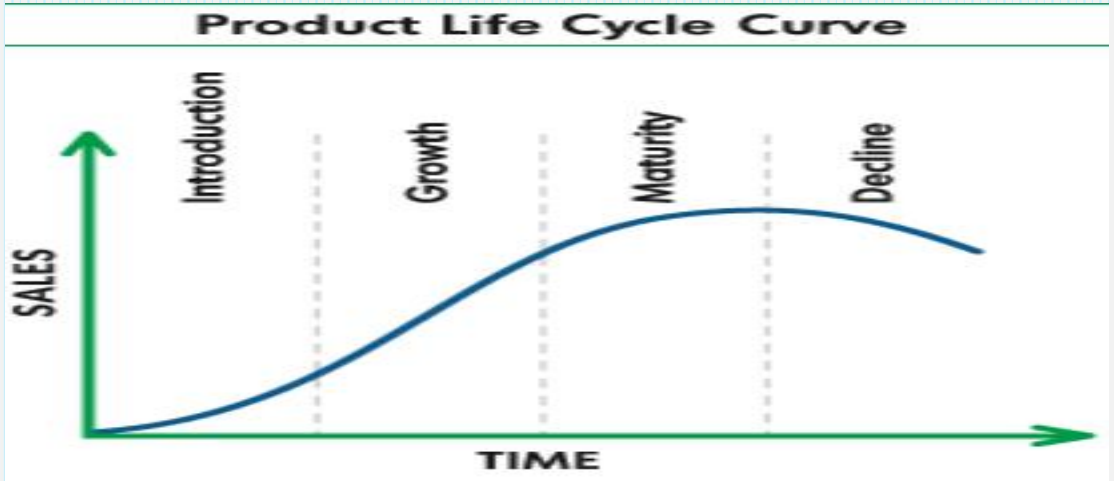


What Is the Product Life Cycle?

This concept is used by management and by marketing professionals as a factor in

- To increase advertising
- Reduce prices
- Expand to new markets

Source: https://www.investopedia.com/terms/p/product-life-cycle.asp



Entrepreneurial Resource

Assets, both tangible and intangible, that are mobilized by entrepreneurs in the process of building a business, organization, or other initiative.

Source: http://www.businessdictionary.com/definition/entrepreneurial-resource.html

- ***Entrepreneurial intuition, knowledge, and information***
- ***Business/brand, customers, and networking***
- ***Financial an technological resources***

Acquisition and Mergers

❑ What Are Mergers and Acquisitions?

Mergers and acquisitions (M&A) is a general term used to describe the consolidation of companies or assets through various types of financial transactions, including mergers, acquisitions, consolidations, tender offers, purchase of assets, and management acquisitions.

Source: *https://www.investopedia.com/terms/m/mergersandacquisitions.asp*

❑ What is an acquisition?

In an acquisition, one company purchases the other outright. The acquired firm does not change its legal name or structure but is now owned by the parent company.

Source: *https://www.investopedia.com/terms/m/mergersandacquisitions.asp*

❑ What is a Merger?

A merger is the combination of two firms, which subsequently form a new legal entity under the banner of one corporate name.

Source: https://www.investopedia.com/terms/m/mergersandacquisitions.asp

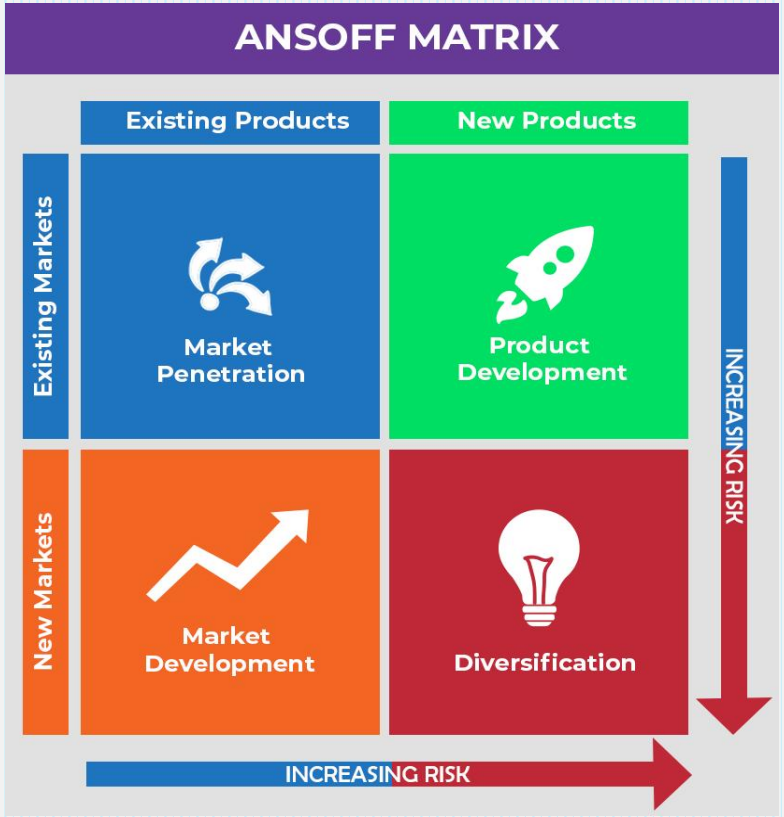
- ❖ **Horizontal merger** (Two businesses that are in direct competition and share the same product lines and markets)
- ❖ **Vertical merger** (Two businesses who provides supplies e.g. a cone supplier merging with an ice cream maker)
- ❖ **Cogeneric merger** (Two businesses that serve the same consumer base in different ways e.g TV manufacturer and a cable company)
- ❖ **Market extension merger** (Two businesses that sell the same products but in different markets)
- ❖ **Product extension merger** (Two businesses selling different but related products in the same market)
- ❖ **Conglomeration** (Two businesses that have no common business)

Stategy Tools for Growth Preparation

- **BCG Matrix** (Core components are Market Growth and Reltive Market Share)



- ❖ **Star** (High relative market share, high market growth)
- ❖ **Question mark** (low relative market share, high market growth)
- ❖ **Cash Cow** (high relative market share, low market growth)
- ❖ **Dog** (low relative market share, low market growth)



- **The Ansoff Matrix** (Also known as the Product/Market Expansion Gride)

- ❖ **Market development**
  - ✓ Target different geographical markets at home or abroad with existing product
  - ✓ Risk level: Moderate to High
- ❖ **Market Penetration**
  - ✓ Target larger market share with existing products
  - ✓ Risk level: Low
- ❖ **Product development**
  - ✓ Introducing new products in existing markets
  - ✓ Risk level: High to low
- ❖ **Diversification**
  - ✓ Introducing new products in new market
  - ✓ Risk level: High

Create & Exit strategy

Virtual University

Options for closure

Completely close your business

1. File dissolution documents.
2. Cancel registrations, permits, licenses, and business names.
3. Protect your finances and reputation
4. Comply with employment and labor laws.
5. Inform your customers and complete jobs in progress
6. Handle final returns for income tax and sales tax.
7. Notify creditors and pay outstanding debts
8. Maintain records for at least three to seven years.

You may sell your business

1. Accurately tangible and intangible assets
2. Financial value of brand, intellectual property, customer information, and projection of future revenue
3. Maintain records for at least three to seven years

You may declare bankruptcy for liquidation

1. Prepare an inventory and determine assets for sale
2. Secure your merchandise
3. Set liquidation value of assets with a qualified appraiser
4. Use that value to estimate net sale proceeds and re-evaluate your decision
5. Choose sale type: negotiated, consignment, internet, sealed bid, or retail
6. Hire an auctioneer, dealer, broker, or other expert to conduct

Virtual University

Globalization and Entrepreneurship

What is globalization ?

- Globalization is a process of communication, interaction, exchange, and integration of resources, culture, values, finance, skill, and knowledge among the individuals, businesses, and governments of different nations.
- Globalization is the spread of products, technology, information, and jobs across national borders and cultures. In economic terms, it describes an interdependence of nations around the globe fostered through free trade.

  Source: https://www.investopedia.com/terms/g/globalization.asp
- Globalization is a social, cultural, financial, political, and legal phenomenon.

Drives behind fast globalization

- Natural resources endowment
- Improved transportation
- Technological breakthrough
- Free trade policies and international politics

Entrepreneurship and Globalization

1. How does trade across the borders affect the creation and survival of new enterprises?
2. How does Foreign Direct Investment (FDI) and tax system for large enterprises affect the creation and survival of new enterprises?
3. Can micro, small and medium enterprises compete globally?
4. What is the affect of globalization on different sectors of economy?
5. What in-house international expertise does the entrepreneur and firm have?
6. How much capital is required to international production and marketing?

Opportunities and challenges in the globalized world

❑ Global Entrepreneurship

Global entrepreneurship is process where firms act more innovative, efficient and entrepreneurial to alter and improved their products and services to compete in international markets.

Global Opportunities

❖ **Born-Global Firms**

Small firms launched with cross-border trade since inception.

❖ **Service outsourcing**

A strategy where large firms access foreign labor for services through contracts with independent providers.

❖ **Offshoring**

A strategy where firms relocate their operations abroad for achieving cost efficiency + access to knowledge workers.

❖ **Information Industry**

❖ **Skill Industry**

Global Challenges

- ✓ Cultural differences
- ✓ Legal system
- ✓ Economic Risk
- ✓ Political influence
- ✓ Financial issues
- ✓ Managerial limitations
- ✓ Skill Limitations
- ✓ Quality standards
- ✓ Product Design
- ✓ Srvice design
- ✓ Adaption
- ✓ Operation alteration

Strategies for going global

- **Exporting:** Selling products produced in the home country to customers in another country.
- **Importing:** Selling goods produced in another country to buyers in the home country.
- **Foreign licensing:** Allowing a company in another country to purchase the rights to manufacture and sell a company's products in international markets.
  - Licensee: The company buying licensing rights
  - Licensor: The company selling licensing rights
- **International Franchising:** Selling a standard package of products, systems, and management services to a company in another country.
- **International strategic Alliance:** A combination of efforts and/or assets of companies in different countries for the sake of pooling resources and sharing the risks of an enterprise.
- **Cross-border acquisition:** The purchase by a business in one country of a company located in another country.

Digital Age and Business Issues

How digitalization affects the internationalization of small- and medium-sized firms (SMEs)?

- **Born international**
- **Imported product competition**
- **Inter-based E-commerce**
  - https://www.daraz.pk/
  - https://www.aliexpress.com
- **Digital Consideration**
  - Privacy Policy
  - Exchange Policy
  - Payment policy and methods
  - Logistics, Order Tracking
  - FAQs, Customer Generated Content
- **Issues of e-business and/or e-commerce**
  - Competition is brutal
  - It takes time to build a positive feedback profile
  - Your products can become restricted and unsellable at any time
  - Generating targeted traffic, Converting shoppers into paying customers
  - Choosing the right technology & partners
  - Legal issues in payments in return policy
  - Product display and content development

Entrepreneurship MGT602

Theme 15: Entrepreneurship Ecosystem & Ethical Considerations

Videos 178-193

Entrepreneurship Ecosystem Part-1

- **What is an ecosystem?** (A community of living organisms in conjunction with the nonliving components of their environment (things like air, water and mineral soil), interacting as a system).
  - We define entrepreneurial ecosystems at the socioeconomic level having properties of self-organization, scalability and sustainability as "…dynamic institutionally embedded interaction between entrepreneurial attitudes, abilities and aspirations, by individuals, which drives the allocation of resources through the creation and operation of new ventures."
  - A system is an organized set of interacting and interdependent subsystems that function together as a whole to achieve a purpose.
  - In general, an ecosystem is a purposeful collaborating network of dynamic interacting systems and subsystems that have an ever-changing set of dependencies within a given context.

Source: *Global Entrepreneurship Index by The Global Entrepreneurship and Development Institute, Washington, D.C., USA*

ENTREPRENEURIAL FRAMEWORK CONDITIONS

Entrepreneurship doesn't take place in a vacuum — a whole host of factors determine how easy (or difficult) it is to start up. Our National Expert Survey (NES) looks at the national context in which individuals start businesses

1. Financing For Entrepreneurs
2. Governmental Support And Policies
3. Taxes And Bureaucracy
4. Governmental Programs
5. Basic School Entrepreneurial Education And Training
6. Post School Entrepreneurial Education And Training
7. R&D Transfer
8. Commercial And Professional Infrastructure
9. Internal Market Dynamics
10. Internal Market Openness
11. Physical And Services Infrastructure
12. Cultural And Social Norms

Entrepreneurship ecosystem Part-2

❑ Entrepreneurship ecosystem

- ✓ Friends and family
- ✓ Educational Institutions
- ✓ Training Institutions
- ✓ Industry
- ✓ Federal and provincial governments
- ✓ Banking and insurance institutions
- ✓ Customers and markets
- ✓ International markets
- ✓ Government Policies
- ✓ Global politics

❑ Isenberg's model of an entrepreneurship ecosystem

- ✓ Conducive culture
- ✓ Enabling policies
- ✓ Availability of appropriate finance
- ✓ Quality of human capital
- ✓ Venture friendly markets for products
- ✓ Institutional and infrastructure support

❑ Ease of Doing Business Index

1. Starting a business:
2. Dealing with construction permits
3. Getting electricity
4. Registering property
5. Getting credit
6. Protecting investors
7. Paying taxes
8. Trading across borders
9. Enforcing contracts
10. Resolving insolvency

Institutional & Government markets

Classification of B 2 B market (Business Markets)

- **Industrial market** (The units that manufacture the Industrial goods and servicesFriends and family)
- **Institutional market** (government and private markets) Schools, hospitals, nursing homes, prisons, and other institutions that provide goods and services to people in their care
- **Government Institutions** (Federal, state, and local bodies hat purchase or rent goods and services for carrying out the main functions of government.

Business Markets Characteristics

- Fewer but larger buyers
- Demand is derived from final consumer demand
- Business markets is more inelastic
- More professional purchasing effort
- More complex buying decisions
- Buying process is more formalized
- Buyers and sellers work more closely together and build close long-term relationships

Source: *Principle of Marketing by Kotler and Armstrong*

Participants in Business Buying Process

- **Users** (Members of the buying organization who will actually use the purchased product or service).
- **Influencers** (People in an organization's buying center who affect the buying decision; they often help define specifications and also provide information for evaluating alternatives).
- **Buyers** (People in an organization's buying center who make an actual purchase).
- **Deciders** (People in an organization's buying center who have formal or informal power to select or approve the final suppliers).
- **Gatekeepers** (People in an organization's buying center who control the flow of information to others).

Source: Principle of Marketing by Kotler and Armstrong

The Business Buying Process

1. **Problem recognition -** Problem recognition or need that can be met by acquiring a good or a service.
2. **General need description -** To describe the characteristics and quantity of a needed item.
3. **Product specification -** To decide on and specify the best technical product characteristics for a needed item.
4. **Supplier search -** The buyer tries to find the best vendors.
5. **Proposal solicitation -** The buyer invites qualified suppliers to submit proposals.
6. **Supplier selection -** The buyer reviews proposals and selects suppliers.
7. **Order-routine specification -** The buyer writes the final order with the chosen supplier(s), listing the technical specifications, quantity needed, expected time of delivery, return policies, and warranties.
8. **Performance review -** The performance of the supplier is assessed to continue, modify, or drop the arrangement.

Entrepreneurship ecosystem Part-2

What is ethics?

- Moral principles that govern and guide an individual's behavior while living in a society for conducting activities in general interest of society).
- Ethics is the branch of knowledge that defines the moral principles to deal with people and society.

Ethics' Particulars

- The ethical boundaries
- Religious boundary
- Personal behavior and intentions
- Government's laws, rules and regulations
- Consumer boundary
- Society boundary

Sources of Business Ethic

1. Religion
2. Culture
3. Law

Types of business ethics

1. **Trustworthiness** - Being transparent and honest in all actions and communications.
2. **Respect -** Respect for employees and customers
3. **Fairness -** Fairness in dealings with customers and employees
4. **Respect** - for governing laws, rules and regulations Avoid illegal practices
5. **Workplace** - environment Diversity, harassment, equal opportunity right, wages, basic rights

Theme 15- Misc

184	How ethical behavior and practices in business bring economic benefits?
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187	Discussion with Lawyer: Intellectual property
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189	Discussion with Lawyer: Patents
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191	Discussion with Lawyer: Design protection
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